

What is a trust? [¶25-010]

[¶25-010]

[Click to open document in a browser](#)

A trust, in its simplest form, is property that is subject to obligations owed by the property's owner (the trustee) to the beneficiary or beneficiaries for whom the property is held. Beneficiaries' rights to the due and proper administration of a trust is a fundamental aspect of the trust relationship. As noted by Millet LJ in *Armitage v Nurse* [1998] Ch 241 at 253–254:

... there is an irreducible core of obligations owed by the trustees to the beneficiaries and enforceable by them which is fundamental to the concept of the trust. If the beneficiaries have no rights enforceable against the trustees there are no trusts.

As a trust itself has no legal personality, each trustee acts personally for the benefit of the trust's beneficiaries. This means that a trustee is liable for that trustee's actions as if those actions were on the trustee's own account. This is the case regardless of whether the trustee can benefit personally from the trust. A trustee is subject to the terms of the trust, the mandatory duties and the default duties (to the extent that these are not modified or negated) proscribed in the Trusts Act 2019 (TRU).

At one extreme, a trustee may have no duties other than the duty to transfer ownership of the trust property to the beneficiary when called upon to do so. Such a trust is commonly known as a bare trust.

The focus of the rules for the taxation of trusts is on trusts other than bare trusts. Bare trusts are largely ignored for tax purposes. Generally speaking, a bare trustee is treated as a nominee or agent (or akin to a nominee or agent) of the beneficiary (s [YB 21](#) of the Income Tax Act 2007 (IT07)).

Settlor, trustee and beneficiary

A settlor of a trust can also be a trustee and a beneficiary of the trust. However, a person cannot be the sole trustee and beneficiary, as the essence of a trust is that the trustee holds or deals with trust property for the benefit of beneficiaries to whom the trustee owes fiduciary obligations. In the past, there were statutory concerns regarding settlors of a trust also being beneficiaries. With the abolition of estate duty and gift duty, the concerns regarding the possibility of "claw back" (eg for estate duty purposes, claw back into a settlor's estate the value of any property they transferred to a trust where the benefit of the property could be enjoyed directly or indirectly by them as a beneficiary) are no longer applicable. That said the possibility that some form of estate duty or gift tax may be reintroduced cannot be ruled out.

Multiple settlements may be treated as one trust

In law, each settlement on a trust is the creation of a separate trust. See *Baldwin v C of IR* [1965] NZLR 1 and *Tucker v C of IR* [1965] NZLR 1027.

In practice, 2 or more settlements on the same trustee on the same terms are often managed as one trust with one tax return filed. This practice is allowed for tax purposes; the legislation provides that a trustee may choose to treat multiple settlements made on the same terms as one trust (s [HC 3](#) and *Tax Information Bulletin* [¶135-112 Vol 13, No 5](#), May 2001 at 29).

Application of the trust rules

The trust rules tax trusts largely by reference to the tax residence of the settlor rather than the trustee, as is the case with most other countries. As a general rule, income a non-resident trustee derives from outside New Zealand is deemed to be income of the trustee if any settlor of the trust is resident in New Zealand at any time during the income year. Conversely, a foreign-sourced amount derived by a New Zealand resident trustee is deemed not to be income of the trustee when, broadly stated, no settlor of the trust (who is not a transitional resident) is resident in New Zealand during the income year. Additionally, subject to certain

exceptions, New Zealand resident settlors are liable for tax on trustee income derived during an income year if no trustee of the trust is resident in New Zealand at all times during that year. For more on the taxation of foreign-sourced amounts derived by trustees, see ss [HC 25](#), [HC 26](#), [HC 29](#) and [¶25-100](#).

The trust rules incorporate the following elements:

- # a definition of both “beneficiary income” and “trustee income”
- # a wide definition of “settlor”
- # complying trusts, foreign trusts and non-complying trusts
- # the concept of a “taxable distribution” in relation to a foreign or non-complying trust
- # ordering rules in relation to distributions from a trust
- # rules relating to a first-time New Zealand resident settlor, and
- # specified rates of tax.

The trust regime applies to all trusts (other than bare trusts), both in New Zealand and offshore.

The trust rules do not apply to:

- # a unit trust (for tax purposes, unit trusts are deemed to be companies and are taxed accordingly, see [¶24-190](#))
- # a group investment fund to the extent it is treated as a company under the IT07 ([¶24-070](#))
- # a Māori authority
- # a distribution under s [HZ 1](#) (distributions from trusts of pre-1989 tax reserves).

For commentary on the tax treatment of trust that is a tax charity, see [¶24-240](#).

Trust law review

The TRU, which came into full force and effect on 30 January 2021, replaced the Trustee Act 1956 and the Perpetuities Act 1964 and made trust law more accessible, and clarified and simplified core trust principles and essential obligations for trustees. The TRU also preserves the flexibility of the common law to allow trust law to continue to evolve through the courts. The TRU does not amend or alter any provisions regarding the taxation of trusts or established trust law principles. The TRU:

- # provides clarification of the key features of a trust and clear mandatory and default trustee duties so trustees know what their obligations are if they are involved in managing a trust
- # introduces for a presumption that trustees will provide beneficiaries with trust information on request
- # provides more flexible trustee powers and updated rules to allow trustees to manage and invest trust property in the most appropriate way
- # provides clear rules for variation, resettlement and termination, and
- # provides more options for removing and appointing trustees without having to go to court while also preserving the ability to ask the courts to intervene to resolve disputes.

Law: IT07 subpart [HC](#), ss [HC 3](#), [YB 21](#)

Last reviewed on 31 December 2025

Overview of trust regime [¶25-025]

[¶25-025]

[Click to open document in a browser](#)

Distributions from trusts

At the time any distribution is made, a trust is classified (for tax purposes only) as either a complying trust, a foreign trust or a non-complying trust. This classification determines the tax treatment of any distribution other than a distribution of beneficiary income, and the applicable tax rate ([¶25-300](#)).

Beneficiaries of foreign trusts and non-complying trusts may also be taxed on distributions of accumulated income and, in some cases, capital gains. These kinds of distributions are known as “taxable distributions” ([¶25-360](#)).

Trustee income and beneficiary income

Regardless of trust classification, income derived by a trustee in an income year is taxed as either:

- # “trustee income” at the flat rate of 39%, unless an exception applies in which case the trustee tax rate remains at 33% (other than for legacy superannuation funds, which are taxed at 28%) ([¶25-080](#)), or
- # “beneficiary income” at the beneficiary’s marginal rate of tax.

The taxation of trustee and beneficiary income is discussed at [¶25-100](#) and [¶25-200](#) respectively.

Special rules that apply to trusts

In addition to the specific regime that applies to trustee and beneficiary income and other distributions from trusts, there are other specific rules throughout the IT07 that have specific application to trusts.

Modifications to continuity of shareholding rules

A company cannot carry forward imputation credits unless a continuity of shareholding test is met. However, these rules are modified in relation to trustees so a change of trustee will not result in a loss of continuity (ss [OA 8](#), [YC 9](#) and [¶16-190](#)).

Rules that apply to qualifying companies are modified for trustee shareholders

If a trustee is a shareholder in a qualifying company, all dividends must ordinarily be paid out to natural person beneficiaries. Where a trustee is a shareholder in a qualifying company, there are limitations as to who can benefit from the trust (s [HA 7](#) and [¶19-010](#)). These limitations do not apply in the same way to look-through companies.

Anti-streaming rule applies to imputation credits distributed to beneficiaries

Imputation credits distributed to beneficiaries are distributed in proportion to total distributions to prevent streaming imputation credits to the beneficiaries who are most able to use the credit ([¶25-260](#)).

Rules of association

Associated person provisions apply to associate persons, companies, trusts and partnerships. The effect of the rules of association is to alter the incidence of tax due to certain relationships. Under these rules:

- # the trustee of a trust is associated with the settlor and any person with the power to appoint or remove trustees (s [YB 11](#))

Note that there is no association between the settlor and an appointor who is a professional trustee. For the exemption for professional trustees to apply the appointor must be a provider of professional services who has not and cannot benefit from the trust, and who is subject to a professional code of conduct, and related disciplinary process, of an “approved organisation” as defined by the Tax Administration Act 1994 (TAA) (eg a member of Chartered Accountants Australia and New Zealand, the New Zealand Law Society or the Society of Trust and Estate Practitioners (STEP)). See *Tax Information Bulletin* ¶259-103 Vol 25, No 9, October 2013 at 40 and *Tax Information Bulletin* ¶267-121 Vol 26, No 7, August 2014 at 128.

two trusts are associated if they have a common settlor

a settlor is associated with a beneficiary

a trustee is associated with a beneficiary

a person is associated with a relative's trustee, and

a trustee can be associated with a company.

In addition, a tripartite test provides that any two persons associated with the same third person are also associated (s [YB 1\(3\)\(k\)](#) and [¶16-245](#)).

The associated persons rules in the trust context are summarised in the table below:

Associated person rule	Income tax – land	Income tax - other
Trustee and beneficiary (s YB 6)	No	Yes
Trustee and relative of beneficiary (ss YB 4 and YB 5)	No	Yes
Trustee and settlor (ss YB 8 and YB 10)	Yes	Yes
Settlor and beneficiary (ss YB 9 and YB 10)	No	Yes
Two trustees and same settlor (ss YB 7 and YB 10)	Yes	Yes
Trustee and person with power to appoint and remove the trustee (s YB 11)	Yes	Yes

Table reproduced from [IS 24/01](#), Taxation of trusts at 139.

Transfers of property from trusts

Rules in subpart [FC](#) provide for the income tax treatment of transfers of property including transfers following a person's death and distributions from trusts. Among other things, the rules provide a disposal value for trustees that make distributions in kind and a cost price for beneficiaries (or trustees) receiving property in kind ([¶125-660](#)).

Change of trustees and disposal for land sales rules

Certain disposals of land are subject to tax (see the Land transactions chapter). A change of trustees of a trust and the consequential transfer of the land to new trustees does not amount to a disposal of land under trust law. The Commissioner's view contained in interpretation statement [IS 22/03](#), “Income Tax – application of the land sales rules to co-ownership changes and changes of trustees” aligns with general trust law.

Trustee capacity

Section [YA 5](#) of the IT07 provides a general rule that when a person is acting in the capacity of trustee of a trust, they are treated, for income tax purposes, as acting in that capacity and not in their personal, body corporate, or other capacities.

Before the introduction of s [YA 5](#) on 29 March 2018, there was uncertainty surrounding the application of the voting interest test for corporate trustees as a result of 2 High Court decisions, *Concepts 124 Ltd v C of IR* (2014) 26 NZTC ¶121-100 and *Staithe Drive Development Ltd v C of IR* (2015) 27 NZTC ¶122-028. These decisions changed how the voting interest test, which is used to measure the ownership of companies, including their association, was applied to corporate trustees. In both cases, the High Court held that the voting interests in the relevant companies were held by the legal owner of shares and effectively ignored the capacity in which those shares were held. This meant that the voting rights attached to shares owned by a corporate trustee were attributed to that trustee's natural person shareholders in their personal capacity. Amendments to the definitions of "company" and "natural person", clarify that:

- # any reference to "company" in the IT07 does not include a corporate trustee (subject to any identified exceptions), and
- # any reference to "natural person" in the IT07 does not include a natural person trustee (subject to any identified exceptions).

Section [YA 5](#) ensures that if a person is the trustee of more than one trust, the person is acting in a different capacity for each trust. In particular, a corporate trustee is not looked-through, including for the purpose of association. The exceptions to this general rule include the following:

- # The definition of "close company" includes trustees (natural person or corporate) as many close companies are owned in family trust structures.
- # Section [HD 15](#) applies to a company acting in its capacity as trustee. This gives the Commissioner power to recover income tax from the directors and shareholders of a company where an arrangement or transaction depletes the company's assets so that it is unable to satisfy its tax liabilities. See [¶16-880](#).
- # The residence rules in subpart [YD](#) clarify that the natural person residence test in s [YD 1](#), and the company residence test in s [YD 2](#), continue to apply to a person or a company acting as a trustee.

Interpretation statement "Taxation of Trusts"

Interpretation statement [IS 24/01](#), "Taxation of trusts" is a general guide as to how income derived by trustees and beneficiaries of a trust is taxed. [IS 24/01](#) also overviews the various compliance obligations imposed on settlors, trustees and beneficiaries under tax law. The statement does not consider the foreign tax credit regime as it applies to trusts, the application of double tax agreements to trusts, or the application of s [BG 1](#), as these are beyond the scope of a general guide. [IS 24/01](#) replaces interpretation statement [IS 18/01](#).

Law: IT07 subparts [FC](#), [HC](#), ss [HD 15](#), [OA 8](#), [YA 5](#), [YD 1](#), [YD 2](#), [YB 1\(3\)](#), [YB 4](#), [YB 5](#), [YB 6](#), [YB 7](#), [YB 8](#), [YB 9](#), [YB 10](#), [YB 11](#), [YB 14](#), [YC 9](#)

Last reviewed on 31 December 2025

Settlers — significance for tax purposes [¶25-030]

[¶25-030]

[Click to open document in a browser](#)

The taxation of trusts for New Zealand purposes is largely based on the tax residence of the settlor ([¶25-010](#)). In addition, a settlor of a trust can be liable for tax on trustee income as agent of the trustee. In certain circumstances, settlers are required to disclose to the Commissioner the existence of a trust and details of its trustee and beneficiary. Whether a person is a settlor may also have implications for the calculation of income for social assistance purposes ([¶12-125](#)) and for calculating “adjusted net income” for student loan purposes ([¶18-040](#)).

Definition of settlor

The term “settlor” is widely defined for the purpose of the trust regime and for those purposes is a person who directly or indirectly, in one or more transactions:

- # transfers value to, for the benefit of, or on the terms of the trust, or
- # provides services to the trust or for the benefit of the trust for less than market value unless, with effect from 18 March 2019, the services are incidental to the operation of the trust, or
- # provides financial assistance with an obligation to pay on demand where the demand is not exercised or is deferred, or
- # is a beneficiary of the trust who is owed money by the trustee and does not meet the requirements in s [HC 27\(6\)](#).

Section [HC 27\(6\)](#) provides that when a trustee owes an amount to a beneficiary of the trust (such as their current account balance), the beneficiary does not become a settlor solely as a result of being owed the amount if:

- # the amount owing at the end of the income year is not more than \$25,000, or
- # the amount owing at the end of the income year is more than \$25,000 and the trustee pays interest at a rate equal to the prescribed rate (as for fringe benefit tax (FBT)) or the market rate by the later of—
- # a date that falls within 6 months of the end of the income year, and
- # the earlier of the date on which the trustee files the return and the date the return is due.

For these purposes, the amount owing at the end of the income year is the amount of the debt at that time adjusted to include the effect of transactions that are made after the end of the income year and by the date specified above and that are included in the financial statements of the trust for the income year.

Section [HC 31B](#) provides a formula for calculating the value of a transfer (for settlement or distribution purposes) arising from the provision of financial assistance by one person (the creditor) for the benefit of another person (the debtor), where:

- # the debtor does not pay interest on the debt amount at a rate equal to the prescribed rate or the market rate, and
- # the debt is not forgiven, and
- # the right of the creditor to demand the debt amount is not exercised or is deferred.

The formula is based on the nominal value of the financial assistance given (the debt amount) and the benchmark rate, being the amount of interest that would have accrued at either the prescribed rate or market rate of interest, at the debtor's choice. The value of the distribution or settlement for any period (eg an income year) is the amount by which the benchmark interest exceeds the actual amount of interest paid for the financial assistance.

Under s [HC 28](#), the definition of “settlor” also includes any person who:

- # acts or refrains from acting or enters into a transaction or a series of transactions in relation to a trust with the effect of defeating the intent and application of the trust rules, or

in relation to a controlled foreign company (CFC) that settles an amount onto a trust, holds a control interest of 10% or more in the CFC, from 23 March 2020, either:

at the time of the settlement, or

for the accounting period of the CFC in which the settlement occurs, or

in relation to a company that settles an amount onto a trust and would have been a CFC at the time of the settlement if it had been a foreign company, would be treated as having a control interest of 10% or more in the company, if the company were a foreign company—

at the time of the settlement, or

for the accounting period of the company in which the settlement occurs, or

acquires any right under an existing trust with the purpose or effect of being able to require the trustee to treat that person, or a nominee, as a beneficiary, or

is a settlor of a head-trust, the trustee of which settles a sub-trust, will be a settlor of the subtrust.

Although note that special rules apply in relation to the resettlement of property of a foreign trust (s [HC 27\(3D\)](#)).

Note that the definition of “settlor” is amended for the minor beneficiary rule ([¶125-115](#)).

The importance of correctly identifying settlors has implications that extend beyond trust classification. See [¶17-020](#) regarding the bright-line test exceptions.

Exceptions

There are 3 exceptions to the definition of “settlor”:

A New Zealand resident employer who settles a trust to provide retirement benefits for employees is not a settlor provided the trust is established mainly to provide retirement benefits to natural persons, and it must not be a foreign superannuation scheme nor a superannuation fund (s [HC 27\(3\)](#)).

A person who makes a contribution to a trust that is a foreign superannuation scheme is not a settlor of the trust (s [HC 27\(3C\)](#)).

A New Zealand resident trustee of a trust (the head-trust) is not treated as a settlor of another (the sub-trust) if the trustee settles an amount or makes a distribution to the sub-trust provided that the following is satisfied at the time of the settlement or distribution (s [HC 27\(3D\)](#)):

a settlor of the head-trust exists and each settlor of the head-trust is a non-resident, or

no settlor of the head-trust exists and the last surviving settlor of the head-trust was a non-resident.

Settlement

For the purposes of the trust regime, the term “settlement” is defined as any action or failure to act on the part of any person, or any transaction, or series of transactions, entered into by a person that has the effect of making that person a settlor. When a person is or is treated as a settlor in respect of any settlement, that person is treated as having made the settlement.

Law: IT07 ss [HC 27](#), [HC 28](#), [HC 31B](#), [HC 33](#), [YA 1](#) (“[settlement](#)”, “[settlor](#)”)

Last reviewed on 31 December 2025

Settlers — tax liability [¶25-040]

[¶25-040]

[Click to open document in a browser](#)

A settlor of a trust who is resident in New Zealand for any part of a tax year may be taxed as agent of the trustee on trustee income which the trustee derives in that tax year. This rule applies where a settlement was made to, or for the benefit of, the trust on or after 17 December 1987. If there is more than one settlor, the settlors are jointly and severally liable.

This provision does not apply where:

- # a trustee of the trust is resident in New Zealand either for the whole of the income year or for that part of the year commencing with the date on which a settlement was first made on the trust, as the case may be, or
- # the trust is a charitable trust, or
- # the settlor is a settlor of:
 - # a tax charity, or
 - # a superannuation fund, or
 - # a trust to the extent to which trustee income is derived from the settlor's remitting an amount under a financial arrangement to which s [EW 31](#) or [EZ 38](#) (which relate to base price adjustments) applies, or
 - # the settlor (being a natural person) was not resident in New Zealand at the time of making a settlement on the trust, and had not been resident at the time of any previous settlement that occurred after 17 December 1987, unless that settlor elects to be taxed under s [HC 33](#), or
 - # the settlor can establish to the Commissioner through full disclosure that another person had settled property on the trust and should be liable with respect to those settlements.

Law: IT07 ss [HC 29](#), [HD 12\(2\)](#)

Last reviewed on 31 December 2025

Trustee tax rate [¶25-080]

[¶25-080]

[Click to open document in a browser](#)

The Taxation (Annual Rates for 2024–25, Emergency Response, and Remedial Measures) Act 2025 introduced the following trustee tax rate remedies:

- # clarification that income subject to the minor or corporate beneficiary rules is subject to a 39% tax rate, regardless of whether the trust is eligible for an exclusion from the 39% trustee tax rate
- # amendments to ensure beneficiary income derived from a disabled beneficiary trust by a minor is not subject to the minor beneficiary rule
- # clarification that when a company derives beneficiary income subject to the corporate beneficiary rule, the capital gain amount included in the company's available capital distribution amount is the after-tax amount
- # amendments to ensure trusts that no longer hold shares in electricity distribution companies but continue to have the same class of beneficiaries for which the trust was established also qualify as energy consumer trusts.

Trustee tax rate

From 1 April 2024, trustee income is taxed at the flat rate of 39% unless one of the following exceptions applies in which case the trustee tax rate remains at 33%:

- # a de minimis trust (see below)
- # a deceased estate for the income year the estate was created and the following 3 income years
- # a disabled beneficiary trust, or
- # an energy consumer trust (or a lines trust).

A legacy superannuation fund is also excluded from the 39% tax rate and subject to tax at 28% ([¶29-410](#)).

Before 1 April 2024, the trustee tax rate was 33%.

De minimis trust

A trust is a “de minimis trust” for an income year if the net income (ie trustee income less deductible expenses) of the trustee is \$10,000 or less (s [HC 40](#)). For the purposes of the \$10,000 threshold, the net trustee income excludes any income treated as trustee income under the minor beneficiary rules (s [HC 35](#) and [¶25-115](#)) or the corporate beneficiary rules (s [HC 38](#) and [¶25-120](#)).

The eligibility criteria are to be assessed on a per-trust and per-income year basis. While closely related trusts can each separately qualify as a de minimis trust, a taxpayer who settles multiple trusts or fragments an existing trust to take advantage of the 33% tax rate may raise tax avoidance concerns for the Commissioner (*Tax Information Bulletin*, [¶364-102 Vol 36, No 2](#), May 2024 at 48).

Deceased estate

The trustee income of a deceased estate is subject to a tax rate of 33% for the income year of the relevant person's death and the following 3 income years (s [HC 8B](#)). If the deceased estate is still in existence after this time period, the higher tax rate of 39% applies to the trustee income unless the estate qualifies as a de minimis trust.

Disabled beneficiary trust

The trustee income derived by a disabled beneficiary trust is subject to the 33% tax rate (s [HC 39](#)). A “disabled beneficiary trust” is defined as a trust with one or more disabled beneficiaries and no other beneficiaries may receive distributions except on the dissolution of the trust if no disabled beneficiaries are alive. A disabled beneficiary for an income year is defined as a person who receives one or more of the following payments (including carers who receive payments on behalf of a disabled beneficiary) under the Social Security Act 2018 for at least part of the income year:

- # a supported living payment on the ground of restricted work capacity
- # a child disability allowance
- # jobseeker support on the ground of health condition, injury, or disability, or
- # a disability allowance.

A person who reaches the age of 65 and receives a support living payment, the jobseeker support payment or a disability allowance in the income year or the prior income year also qualifies as a disabled beneficiary.

Law: IT07 ss [HC 8B](#), [HC 35](#), [HC 38](#), [HC 39](#), [HC 40](#), [YA 1](#) (“[lines trust](#)”, “[legacy superannuation fund](#)”), Sch [1](#) pt [A](#)

Last reviewed on 31 December 2025

Trustee income [¶25-100]

[¶25-100]

[Click to open document in a browser](#)

Taxation of trustee income

A trustee is required to satisfy the income tax liability for the taxable income of the trustee as if the trustee is an individual beneficially entitled to that income (s [HC 24\(1\)](#)). The same applies to corporate trustees. This means that a corporate trustee pays tax, in its capacity as a trustee, at the trustee rate of 39%, not the company rate.

General Article [GA 24/01](#) “Proposed increase in the trustee tax rate to 39%” provides high-level guidance of the Commissioner's view on the application of the tax avoidance provisions to certain transactions and structural changes subsequent to the proposed increase in the trustee tax rate. See the discussion on the various scenarios at [¶33-137](#).

Definition of “trustee income”

For tax purposes, amounts derived by trustees in an income year are either beneficiary income or trustee income (s [HC 5](#)). The definition of “trustee income” includes the following and applies for complying, foreign and non-complying trusts:

- # An amount of income derived by a trustee to the extent that it is not beneficiary income is trustee income (s [HC 7\(1\)](#)).
- # Subject to exceptions, an amount of minors' beneficiary income to which s [HC 35](#) applies is treated as trustee income (s [HC 7\(2\)](#) and [¶25-115](#)).
- # An amount of close company beneficiary income subject to the corporate beneficiary rule is treated as trustee income (s [HC 38](#) and [¶25-120](#)).
- # The market value (less any amounts treated as beneficiary income or distributions during the period) of any property settlement a trust receives that is excluded from corpus under s [HC 4\(3\)](#) to [\(5\)](#) is deemed to be trustee income (s [HC 7\(3\)](#)).

Certain settlements onto trust are deemed trustee income

Section s [HC 7\(3\)](#) is an anti-avoidance provision providing that settlements onto a trust that have the effect of avoiding tax are excluded from corpus and deemed to be trustee income (unless they are distributed as beneficiary income or a taxable distribution). The purpose of this provision is to prevent a deferral of tax on undistributed income by resettlement to another trust and covers the following 3 situations:

- # From 1 April 2024, property settled on to a trust from the trustee of another trust is deemed to be trustee income to the extent that the property is not first distributed to a New Zealand resident beneficiary of the other trust, and if the property were first distributed to a New Zealand resident beneficiary of the other trust, the distribution would be beneficiary income of a taxable distribution to that beneficiary (s [HC 4\(3\)](#)). The amendment to this provision clarifies that an amount paid as beneficiary income and subsequently settled on a new trust on the beneficiary's behalf is included in the corpus of the new trust.
- # Property settled on to a trust for which the settlor is allowed a deduction is deemed to be trustee income (s [HC 4\(4\)](#)).
- # Property settled on to a trust that would, but for the settlement, have constituted settlor income, whether or not the settlor is resident in New Zealand, is deemed to be trustee income (s [HC 4\(5\)\(a\)](#) and [\(c\)](#)).

Property settlements that are deemed to be trustee income are treated as income derived by the trustee in the income year corresponding to the settlement and are excluded from the definition of corpus. When

a settlement is excluded from corpus it is included in trustee income for the income year in which the settlement occurred unless the income is distributed to a beneficiary in the same income year. If the trustee distributes this income as beneficiary income or a taxable distribution in the same income year, the amount of trustee income for a settlement excluded from corpus will be reduced by the amount of that distribution.

Commissioner may determine trustee income

The Commissioner may determine the amount of trustee income for the tax year in the following circumstances:

- # a person has failed to make disclosure of a trust in accordance with s [59](#) of the TAA ([¶125-540](#))
- # a person has failed to disclose any information requested by the Commissioner under s [17](#) of the TAA ([¶1-590](#)), or
- # there is insufficient information to calculate the trust's trustee income for any tax year.

Financial arrangements and trustee of deceased estate

Under the financial arrangement rules, in certain circumstances, a trustee is able to calculate financial arrangements income on a cash basis provided the threshold requirements in s [EW 57](#) are not exceeded (s [EW 54](#)).

The trustee for a deceased estate will be a cash basis person for financial arrangements in the estate in the income year in which the death occurred and in each of the 4 succeeding income years if the deceased was a cash basis person at the time of their death and the estate otherwise meets the cash basis person requirements (s [EW 60\(1\), \(2\)](#)). If the trustee of an estate ceases to be a cash basis person at any time during the 5-year period, the trustee cannot be a cash basis person in any subsequent year (s [EW 60\(3\)](#)).

Financial arrangements disposed of by the trustee of a deceased estate must be valued at cost rather than disposed of at market value (s [FC 8](#)).

Debt forgiveness and family trusts

There can be tax consequences for a trustee if a debt owing to that trustee is forgiven. In certain circumstances, the trustee is deemed to have income to the extent that a distribution is less than, or equal to, the total amount of debts forgiven by the creditor ([¶16-420](#)).

Non-resident passive income

Where a non-resident trustee derives non-resident passive income, there will generally be a non-resident withholding tax liability. If trustee income is liable for tax only as non-resident passive income, the trust will not be a complying trust in relation to distributions to beneficiaries ([¶125-310](#)).

Foreign-sourced amounts

Foreign-sourced amounts derived by resident trustee

Foreign-sourced amounts derived by a New Zealand resident trustee in an income year, and included in trustee income for the year, are exempt income if (s [HC 26\(1\)](#)):

- # no settlor of the trust was resident in New Zealand at any time during the income year who is not a transitional resident or, if no settlor exists in the income year, the last surviving settlor was a non-resident when that settlor ceased to exist, and
- # no election has been made under s [HC 33](#) to satisfy the tax liability of the trust ([¶125-530](#)), and
- # the trust is not—

- # a superannuation fund, or
- # a testamentary trust or a trust established during the settlor's lifetime where any settlor of the trust died resident in New Zealand, and
- # for a foreign trust that applies for registration within the period given by s 59C of the TAA ([¶125-550](#)) and is registered by the end of the income year (the post-deadline year) beginning next after the end of the application period—
- # the trust has a trust deed or a will or other document that creates and governs the trust, and
- # the income year ends after 21 February 2017, and
- # for an income year that includes part of the application period or is the post-deadline year, the trust is registered before the end of the post-deadline year and is not deregistered before the foreign-sourced amount is derived, and
- # for an income year beginning after the end of the post-deadline year, the trust is registered when the foreign-sourced amount is derived, and
- # the trustee complies with its requirements under ss 22, 59B, 59C and 59D of the TAA ([¶11-505](#) and [¶125-550](#)), and
- # for a foreign trust to which the above does not apply—
- # the trust has a trust deed or a will or other document that creates and governs the trust, and
- # the trust is registered at the beginning of the income year, and
- # the trust is registered when the foreign-sourced amount is derived, and
- # the trustee complies with its requirements under ss 22, 59B, 59C and 59D of the TAA, and
- # the amount is not minor beneficiary income that is treated as if it were trustee income under s [HC 35\(2\)](#), and
- # the amount is not beneficiary income derived by a close company that is treated as if it were trustee income under s [HC 38\(3\)](#).

For the purposes of determining whether a trustee has complied with its requirements under ss 22, 59B, 59C and 59D, the trustee must comply in the income year or satisfy the Commissioner that it made reasonable efforts to comply in the income year and corrected the failure to comply within a reasonable period of time after the trustee became aware of the failure (s [HC 26\(1B\)](#)). If the disclosure rules for a foreign trust are breached, the exemption from New Zealand tax on foreign-sourced amounts will not apply ([¶125-550](#)).

Foreign-sourced amounts derived by non-resident trustee

Generally, foreign-sourced amounts derived by non-residents are excluded from assessable income under s [BD 1\(5\)](#). In broad terms, a "foreign-sourced amount" is an amount that is not treated as having a source in New Zealand. However, income derived by a non-resident trustee in an income year from outside New Zealand that is not beneficiary income is included in the income of the trustee if at any time during that income year:

- # a settlor of the trust is resident in New Zealand and is not a transitional resident, or
- # the trust is a superannuation fund, or
- # any trustee of the trust was resident in New Zealand and the trust is a testamentary trust (ie a trust created by will) or an *inter vivos* trust, of which a trustee is resident in New Zealand and a settlor died resident in New Zealand or, from 23 March 2020, the last surviving settlor was resident in New Zealand when that settlor ceased to exist (ie a non-natural person settlor).

If income derived by a trustee from outside New Zealand is included in a non-resident trustee's income under s [HC 25](#), then, for the purpose of calculating the trustee's taxable income, the trustee is deemed not to be non-resident for the purpose of s [BD 1\(4\)](#) and is deemed to be resident for the following purposes (s [HC 25\(6\)](#)):

- # ss [EW 9](#) and [EW 11](#) (application of the financial arrangements rules)
- # s [LJ 2](#) (credit for tax paid overseas)
- # s [OE 1](#) (election to maintain branch equivalent tax account)
- # the international tax rules.

Example:

A New Zealand resident settles a trust with non-resident trustees. The trustees derive rental income from a property in Australia. The rental income is included in the trustees' income for New Zealand tax purposes.

Section [HC 25\(2\)](#) does not apply if:

either:

no settlement has been made on the trust after 17 December 1987 (when the current trust rules were introduced), or

the only settlements made on the trust have been made by settlors who were not resident at the time of settlement or at any time after 17 December 1987

and, in either case, the trustee has not made any election to pay tax on trustee income under s [HZ 2](#) (elections made on or before 31 May 1989 by trusts first settled before 18 December 1987), and

the trustee is resident outside New Zealand at all times during the income year.

Note that the exception is limited in its application and does not apply for the purpose of determining whether a trust is a complying trust (s [HC 25\(3\)](#), [\(4\)](#) and [¶25-310](#)).

Law: IT07 ss [BD 1\(4\)](#), [\(5\)](#), [CV 13](#), [CW 54](#), [DB 62](#), [DV 9\(2\)](#), [EW 54](#), [EW 57](#), [EW 60](#), [HC 4](#), [HC 7](#), [HC 24–HC 26](#), [LB 3](#), [RE 2](#), [YA 1](#) (“foreign-sourced amount”), [Sch 1 pt A cl 3](#); TAA s [93B](#)

Last reviewed on 31 December 2025

Trustee income — minor beneficiary rule [¶25-115]

[¶25-115]

[Click to open document in a browser](#)

Subject to certain exceptions, beneficiary income derived by a minor is taxed as trustee income at the trustee rate (currently 39%), irrespective of the beneficiary's marginal rate. The rules that apply to the taxation of minor beneficiary income are referred to as the minor beneficiary rule. However, as the minor beneficiary rule relates to the nature of settlements, rather than the fact of payment to a minor, it can be possible to avoid the application of the rule by ensuring settlements are made on to trusts that are not subject to the rule.

The minor beneficiary rule was introduced to prevent "income streaming" whereby income is attributed to minors with a more favourable tax rate, rather than to (usually) parents.

Minor beneficiaries are generally taxed at the trustee rate

Unless an exclusion applies, beneficiary income derived by minor beneficiaries is taxed at the trustee rate of 39% and this rate applies regardless of whether the trust is a de minimis trust (ss [HC 7\(2\)](#) and [HC 35\(2\)](#)). Income subject to the minor beneficiary rule is treated as trustee income and is not included in the minor beneficiary's income, ie is excluded income of the minor.

Income distributed to minor beneficiaries should therefore be included in the trust tax return as trustee income and not as beneficiary income on the IR6B or in any return of the minors. See Inland Revenue (IR) newsletter, *AGENTS answers*, Issue 46, June 2003. Also see the following example from [IS 24/01](#):

Example: Tax treated as paid on behalf of beneficiary

A trustee distributes \$2,000 to a minor beneficiary and pays tax of \$660 on that distribution as if it were trustee income. The beneficiary has a credit of \$1,340 in their account with the trust. The beneficiary cannot demand payment of \$2,000 on the basis that the liability to pay tax was on the trustee.

Example reproduced from [IS 24/01](#), Taxation of trusts, February 2024 at 48.

Who is a minor?

Unless an exclusion applies, a minor for the purposes of the minor beneficiary rule is a natural person who is resident in New Zealand and who is under 16 years of age, on the trust's balance date for the income year.

The minor beneficiary rule applies to beneficiary income distributed from complying, non-complying or foreign trusts. However, under current legislation, it would appear that the rule may result in foreign-sourced income distributed from foreign and non-complying trusts to New Zealand resident minor beneficiaries escaping the New Zealand tax net altogether. This is because a trustee is generally required to return foreign-sourced income in New Zealand only if a settlor of the trust is resident in New Zealand ([¶25-100](#)). Accordingly, foreign-sourced income distributed from a foreign trust (for example) to a New Zealand resident minor beneficiary as beneficiary income may not be taxable in New Zealand either as trustee income or beneficiary income. The trustee, who is required to pay tax on the income as if it were trustee income, may not be taxable in New Zealand on foreign-sourced trustee income because no settlor of the trust is resident in New Zealand and the income is deemed not to be income of the minor beneficiary.

There are exclusions from the minor beneficiary rule

The minor beneficiary rule does not apply to small distributions

If a minor derives beneficiary income of \$1,000 or less in an income year, the minor beneficiary rule does not apply (s [HC 35\(4\)\(a\)](#)). Where the rule does not apply, the beneficiary income is included in the beneficiary's income and taxed at the beneficiary's marginal rate of tax. If this exemption does not apply, all of the

beneficiary income received by the beneficiary will be subject to the minor beneficiary rule (*Tax Information Bulletin* ¶135-112 Vol 13, No 5, May 2001 at 30).

The exemption for small distributions applies to each trust that a minor receives beneficiary income from in an income year (QB 07/02: “Whether the minor beneficiary rule exemption in section HH 3B (now HC 35(4) (a)) applies on a \$1,000 ‘per beneficiary’ or on a \$1,000 ‘per beneficiary per trust’ basis”).

Where multiple small distributions are made to the same beneficiary from different trusts it would be prudent to consider whether the anti-avoidance provisions could apply.

Settlements from certain trusts are excluded from the minor beneficiary rule

The minor beneficiary rule will not apply to beneficiary income derived by a minor if all the settlements on to the trust meet the requirements of s HC 37(1) or were made by a person who is neither a relative or a guardian of the minor beneficiary, nor associated with a relative or guardian (s HC 36(1)(a)). These exceptions reflect the policy of the minor beneficiary rule, which is to avoid income splitting within family groups.

The definition of “settlor” is modified for the purposes of the minor beneficiary rules and means a person who transfers value to a trust, provides financial assistance or is treated as a settlor under s HC 28. However, if the transfer of value is the provision of a low interest loan existing on or after 1 April 2002, to comply with the definition, the interest rate must be less than the FBT prescribed interest rate on 31 March of the previous tax year. Also excluded from the definition is any transfer of value that includes:

- # the provision of financial assistance by way of a guarantee that was not called on or the provision of security that was not called on, and
- # services that are incidental to the operation of the trust, such as bookkeeping or accounting services or those provided in being a trustee.

For the purposes of the minor beneficiary rule, if a settlement is made on a trust and further settlements are made on the same terms, all the settlements may be treated as one trust.

The term “relative” is defined for the purposes of the minor beneficiary rule as a person connected within the second degree of blood relationship extended to include being in a marriage, civil union, or de facto relationship with a person connected to the other through guardianship.

For the purposes of the minor beneficiary rule the term “guardian” broadly adopts the definition of “guardianship” as set out in s 15 of the Care of Children Act 2004 but excludes a guardian appointed under:

- # s 110(1)(a)–(d) of the Oranga Tamariki Act 1989
- # s 31 of the Care of Children Act
- # s 53 of the Public Trust Office Act 1957, by a court order (note the Public Trust Office Act was repealed by the Public Trust Act 2001. The equivalent provision in the Public Trust Act is s 75), or
- # s 7(4) of the Adoption Act 1955.

Settlements from unrelated parties are not subject to the minor beneficiary rule

The minor beneficiary rule does not apply if all settlements on to the trust were made by a settlor who is a relative, guardian or a person associated with a relative or guardian; and that settlor is acting as the minor beneficiary’s agent and has received the property from an unrelated person (s HC 36(1)(b)(i)).

The associated person test for the purposes of the minor beneficiary rule is contained in subpart YB, but does not include a person associated only because a relative is treated as an associated person under ss YB 4 and YB 5 (s HC 36(5) “associated person or person associated”).

Settlements made under a court order may not be subject to the minor beneficiary rule

The minor beneficiary rule does not apply if all settlements on to the trust are made in accordance with a court order that requires a settlor (who is a relative, guardian or a person associated with a relative or

guardian) to pay damages or compensation to the minor (s [HC 36\(1\)\(b\)\(ii\)](#)). There is little commentary on the exemption for such settlements and as to what kinds of court-ordered damages or compensation it is intended should qualify for the exemption. However, it is clear that the exception does not apply to court orders made in accordance with the Property (Relationships) Act 1976, which provide for the settlement of property upon a trust whether on the breakdown of a family or otherwise. See the report to the Finance and Expenditure Committee on the Taxation (Beneficiary Income of Minors, Services-related Payments and Remedial Matters) Bill prepared by the Policy Advice Division of IR and Treasury (19 February 2001 at 25).

Settlements made in relation to a protection order are not subject to the minor beneficiary rule

The minor beneficiary rule does not apply if all settlements on to the trust were made by a settlor (who is a relative, guardian or a person associated with a relative or guardian) if the minor is a protected person (as defined in the Family Violence Act 2018, s 8) in relation to a protection order and if the settlement occurs before the protection order is made or when the order is in force.

Settlements on to qualifying testamentary trusts are not subject to the minor beneficiary rule

The minor beneficiary rule does not apply to beneficiary income derived by a minor if all the settlements on to the trust meet the requirements of s [HC 36\(1\)](#) (discussed above) or were made under a will, codicil, intestacy or court variation, and:

- # the minor is alive within 12 months of the settlor's death, or
- # the minor has a sibling or half-sibling alive within 12 months of the date of the settlor's death (s [HC 37\(1\)](#)).

This exception will not apply if a will is varied by a deed of family arrangement, otherwise than as a result of a court order.

Other beneficiary income not subject to the rule

Beneficiary income is not subject to the rule if the income is derived by a minor in receipt of a child disability allowance, directly by a minor from a group investment fund, or by a minor from a Māori authority.

A trust does not need to be a "disabled beneficiary trust" for this exemption to apply (s [HC 35\(4\)](#)).

Exemption for small additional settlements

The minor beneficiary rule does not apply if the only settlements that do not come under an exclusion to the rule are settlements comprising:

- # dispositions of property that do not exceed \$5,000 in total value at the end of the trust's income year (each settlement being valued at the date of settlement (s [HC 36\(3\)\(a\)](#)), or
- # the provision of financial assistance for less than market value that has a total value not exceeding \$1,000 on any day in the trust's income year (s [HC 36\(3\)\(b\)](#)).

From 23 March 2020, "financial assistance" is defined in s [YA 1](#), for the purposes of subpart HC, for a person or trust, as meaning assistance provided to or for the benefit of the person or trust that produces a financial benefit for which the person or trust provides less than market value. For the avoidance of doubt, an amount payable on demand for the assistance where demand is not exercised or is deferred is treated as assistance having been provided for less than market value.

Trusts that have received such settlements are sometime referred to mixed trusts for the purposes of the minor beneficiary rule. Care must be taken before making any further settlement on to a mixed trust to ensure that the thresholds are not exceeded. As a matter of pragmatism, rather than relying on the small additional settlements exclusion, a trustee of a trust that is otherwise untainted may wish to consider refusing settlements that will taint a trust, where possible directing these settlements to separate trusts.

The exception for small additional settlements does not apply if services are supplied to a trust by a relative, guardian or associated person. However, for this purpose, the term “services” does not include services incidental to the operation of the trust such as bookkeeping or accounting services, or services as a trustee. This rule is intended to ensure that income distributed to minor beneficiaries from trading trusts is not exempted from the minor beneficiary rule.

If no exception applies, all beneficiary income derived by a minor beneficiary from the trust will be subject to the minor beneficiary rule. Such trusts are often referred to as tainted trusts, the terminology reflecting the fact that any distribution to a minor from such a trust will be “tainted” and the minor beneficiary rule will apply. The following example from [IS 24/01](#) is illustrative:

Example: Parent of minor provides services to trust

A minor derives beneficiary income of \$1,500 from a trust in an income year. There have been two settlements on the trust:

- # an initial settlement of \$100 by a parent of the minor (being a disposal of property for less than market value under s [HC 36\(3\)\(a\)](#));
- # a second settlement made under the terms of a grandmother’s will, where the minor was alive when the grandmother died.

The parent is also a full-time employee of the trust and is paid a market salary. Because the parent is paid market value, the provision of employee services by the parent is not a settlement on the trust.

As a parent of the minor provides services to the trust that are not incidental to its operation, s [HC 36\(4\)](#) provides that the mixed trust rule does not apply. It does not matter that the parent is paid a market value salary. Therefore, the minor beneficiary rule applies to the beneficiary income derived by the minor.

Variation

If no services were provided to the trust by the parent, the result would be different. The first settlement fails the requirements of s [HC 36\(1\)](#) because it is a settlement by a relative. The second settlement meets the requirements of s [HC 37\(1\)](#). As there is one qualifying settlement, s [HC 36\(3\)](#) can be considered.

The non-qualifying settlement by the parent satisfies the requirements of s [HC 36\(3\)\(a\)](#) because the total value of settlements made by disposal for less than market value of property is no more than \$5,000. Therefore, the minor beneficiary rule would not apply as there is a qualifying settlement and the non-qualifying settlement is small in value and permitted.

Example reproduced from [IS 24/01](#), Taxation of trusts, February 2024 at 55

Tracing is not available

Where a trust contains settlements from tainted and untainted settlements, it is not possible to trace distributions so that the rule can be avoided by limiting a distribution to untainted settlements. Where an earlier settlement has “tainted a trust,” the only way to avoid this effect would be for a subsequent “untainted settlement” to be on to a new or different trust that was subject to an exclusion from the minor beneficiary rule.

Losses incurred by the minor cannot be offset against minor beneficiary income

Income subject to the minor beneficiary rule is the minor’s excluded income for tax purposes. This means that losses incurred by a minor cannot be offset against any minor beneficiary income.

Law: IT07 ss [CX 58](#), [HC 3](#), [HC 7\(2\)](#), [HC 17\(2\)](#), [HC 27\(2\)](#), [HC 35–HC 37](#), [YA 1](#) (“financial assistance”, “minor”)

Last reviewed on 31 December 2025

Trustee income — close company beneficiary income

[¶25-120]

[¶25-120]

[Click to open document in a browser](#)

Generally, beneficiary income distributed to a corporate beneficiary is taxed at the company tax rate of 28%. From 1 April 2024, s [HC 38](#) provides beneficiary income derived by certain close companies will be treated as trustee income and taxed at the higher rate of 39%.

This new corporate beneficiary rule applies for beneficiary income derived by a close company from a trust (Trust A) and if any voting interest or market value interest in the company is held directly, or indirectly by at least one of the following:

- # a settlor of Trust A
- # the trustees of Trust A
- # a person for whom a settlor of Trust A has natural love and affection, or
- # the trustees of another trust (Trust B), if a settlor of Trust A has natural love and affection for a settlor or a beneficiary of Trust B.

Beneficiary income subject to the corporate beneficiary rule is excluded income for the close company (s [CX 58B](#)).

Section [HC 38](#) was amended by the Taxation (Annual Rates for 2024–25, Emergency Response, and Remedial Measures) Act 2025 with effect from 1 April 2024 to ensure that the corporate beneficiary rule does not apply to foreign-sourced amounts of income derived by non-resident companies that do not have a New Zealand resident shareholder.

Imputation credits

For beneficiary income distributed to a close company in the form of dividend and subject to the corporate beneficiary rule, s [LE 4B](#) provides that the trustees are able to utilise any imputation credits attached to the dividend ([¶17-110](#)). No imputation credits arise for the close company for any tax paid by the trustees on an amount of beneficiary income subject to the corporate beneficiary rule.

Available capital distribution amount

For the purposes of determining the available capital distribution amount for a share on liquidation of the close company, s CD 44(7)(dc) provides any income subject to corporate beneficiary rule is treated as part of capital gains amount in the formula under s [CD 44](#) ([¶16-720](#)). This means any beneficiary income subject to s [HC 38](#) may be distributed tax free to shareholders on liquidation of the close company.

Exclusions

A close company that is a Māori authority, a tax charity or a securitisation trust beneficiary is excluded from the corporate beneficiary rule (s [HC 38\(2\)](#)). Section [HC 38\(3\)\(b\)](#) provides that the dividend exemption for New Zealand wholly-owned groups in s [CW 10](#) overrides the corporate beneficiary rule ([¶16-800](#)).

Law: IT07 ss [CD 44](#), [CX 58B](#), [CW 10](#), [HC 38](#), [LE 4B](#), [YA 1](#) (“close company”, “Māori authority”, “securitisation trust”, “securitisation trust beneficiary”, “tax charity”)

Last reviewed on 31 December 2025

Trustee income and imputation [¶25-130]

[¶25-130]

[Click to open document in a browser](#)

Dividend income forms part of trustee income (unless distributed as beneficiary income) and is taxed accordingly ([¶25-100](#)). When a dividend received by a trustee as trustee income has an imputation credit attached, the trustee is subject to tax on that dividend including the amount of the tax credit (in the same way as an individual shareholder: see [¶16-550](#)). Any such tax credit may be set off against the trustee's current year liability.

A trustee is not entitled to a refund for imputation credits that cannot be used. Instead, the credits are deemed to be a tax loss for the income year that can be carried forward to succeeding income years. The amount of tax loss to be carried forward is the amount of the unused credit, divided by the basic rate of income tax for trustees (ie currently at 39% for most trusts and 33% for certain trusts, see [¶25-080](#) and [¶2-110](#)).

Unused credits converted to tax losses and not used are lost when a trust is ultimately wound up.

Law: IT07 s [LE 2](#)

Last reviewed on 31 December 2025

Taxation of trustee investment income [¶25-145]

[¶25-145]

[Click to open document in a browser](#)

A trustee of a trust should account for investment income on the same basis as any other person. However, there are exceptions relating to calculation methods, thresholds and tax rates. Further, the trustee-specific provision may not apply to all trusts. Consequently, care is required to correctly identify how to calculate investment income.

FIF and CFC regime

The foreign investment fund (FIF) regime and controlled foreign company (CFC) regime apply to tax shareholdings in a foreign company. The FIF regime effectively applies to foreign shareholdings of up to 50% ([¶26-110](#)). The CFC regime applies to a company defined as a CFC, which essentially is a foreign company controlled by 5 or fewer New Zealand residents ([¶26-038](#) and [¶26-050](#)).

\$50,000 exemption for FIF interest will not apply to most family trusts

The FIF rules do not apply to natural persons and certain trusts if the total cost of FIF interests is \$50,000 or less at all times in an income year ([¶26-125](#)). This exemption only applies for the following type of trusts (s [CQ 5\(1\)](#), [\(5\)](#)):

- # deceased estates within 5 years of the deceased person's death, or
- # trusts settled by the Accident Compensation Corporation, or
- # trusts where the settlor is required to pay damages under a court order.

Certain trustees can change between the FDR and CV methods

Under s [EX 62\(8\)](#), an exception applies to testamentary and family trusts that allows a trustee to change an unlimited number of times between the fair dividend rate (FDR) and comparative value (CV) methods for determining FIF income (see [¶26-130](#) and [¶26-132](#) for FIF calculation methods and change of calculation methods). One method must be used for a minimum of a single income year before changing to another and all FIF income must be calculated in accordance with the same method.

To qualify for this exception, the trustee must be a trustee of a trust that:

- # has no gifting settlor (defined below) who is not a natural person or a deceased person, and
- # is a complying trust at all times in the income year, and
- # is mainly for the benefit of a:
 - # natural person for whom the gifting settlor or settlors of the trust have (or if deceased had) natural love and affection, or
 - # registered tax charity, and
 - # is not a superannuation scheme.

For the purposes of this rule, a "gifting settlor" is defined as a natural person, including a deceased person who (s [EX 46\(12\)](#)) is:

- # a settlor of that trust or of a trust the trustee of which settles property on the first trust, whether the settlement is made directly or via the trustees of other trusts, and
- # not a trustee.

CFC regime

The CFC regime applies to trustee investors in the same way as it applies to other taxpayers ([¶26-038](#)).

However, s [EX 19](#) provides that where a CFC derives a taxable distribution from a non-complying trust and an investor has or would have had attributed CFC income if the taxable distribution was included in the CFC's net attributable CFC income, a pro-rated amount of additional CFC income is attributed to the investor. The tax rate on this income is the 45% rate that applies to taxable distributions.

Trustee disclosure obligations in respect of FIF and CFC interests

Trustee investors are required to disclose details of any attributing FIF or CFC interests held during an income year unless an exemption is granted by the Commissioner (s [61](#)). The details of exemptions granted by the Commissioner are published on an annual basis. For the exemptions granted for the 2023 income year, see *Tax Information Bulletin* [¶1353-111, Vol. 35, No 3](#), April 2023 at 39.

Note: The Taxation (Annual Rates for 2025–26, Compliance Simplification, and Remedial Measures) Bill, which was introduced on 26 August 2025, proposes a new calculation method for calculating FIF income or loss from attributing interests in a FIF. The new revenue account method (RAM) would allow certain FIF interests to be taxed on a realisation basis — ie on dividends derived and gains or losses on disposal. An example on p 38 of the Bill commentary explains how this could work for a family trust.

PIE regime

The portfolio investment entity (PIE) regime is a system for taxing collective investment entities that operate principally at the retail (or individual investor) level. The PIE regime provides that the returns of retail investors are effectively subject to the imposition and payment of income tax in the hands of the PIE as a collective investment vehicle ([¶129-100](#)).

Tax rates for the trustee investor in the multi-rate PIE

Income derived by a multi-rate PIE must be attributed to its investors in proportion to their interests in the investment assets of the PIE ([¶129-115](#)). The multi-rate PIE calculates the tax payable using the tax rate as advised by the investor and pays the tax to IR.

The investors must provide the multi-rate PIE with a notified investor rate (NIR), that is the prescribed investor rate (PIR) set out in Sch [6](#) which is chosen by the investor as appropriate to the investor's income circumstances (s [HM 60](#) and [¶129-145](#)).

If a NIR is not provided by an investor, the multi-rate PIE must tax the attributed income to the investor at the default rate of 28% (s [HM 60\(6\)](#)).

A New Zealand resident trustee is permitted to choose a PIR of 0%, 10.5%, 17.5% or 28%. Generally, attributed PIE income derived by an investor in a multi-rate PIE is excluded income for the investor (s [CX 56B](#)). However, in the trust context, a trustee investor who has chosen a PIR of 0%, 10.5% or 17.5% is not able to treat the attributed multi-rate PIE income as excluded income (s [CX 56\(2\)](#)).

A PIR of 0%

A trustee investor who has chosen a PIR of 0% is not able to treat the attributed PIE income as excluded income (s [CX 56\(2\)](#)). Essentially this means the trustee becomes responsible for attending to all taxation obligations (depending on whether the attributed income is taxed as trustee income or as beneficiary income) imposed in relation to the income attributed by the multi-rate PIE, including timely payments of both provisional tax and terminal tax.

When calculating the tax liability, the trustee is entitled to take into account any tax credits advised by the multi-rate PIE, including resident withholding tax (RWT), imputation credits and foreign tax credits ([¶129-145](#)). Note the foreign tax credits available is limited to the lesser of the credits attributed by the multi-rate PIE or the attributed income multiplied by the trustee rate of tax (s [HM 52\(3\)](#)).

The trustee may also take into account any tax loss as advised by the multi-rate PIE. Effectively, a deduction is available for the amount of any losses attributed to the trustee investor ([¶129-135](#)).

The attributed income of the trustee who has not advised a PIR is taxed by the multi-rate PIE at the default rate of 28%. Under s [HM 57](#), a trustee who derives attributed PIE income and does not choose a PIR rate is deemed to have a PIR rate of 0%. This deemed PIR of 0% means the attributed income is not excluded income and therefore the trustee must include the attributed income in a tax return taking into account the tax credits allowed for the 28% default rate applied by the multi-rate PIE. This also means the attributed income is taxable income and as a consequence, there is no capping of tax at the maximum PIR of 28%.

A trustee of a charity that is registered under the Charities Act 2005 is only permitted to use the PIR rate of 0% (s [HM 57](#)).

A PIR of 10.5%

A trustee of a testamentary trust for minor beneficiaries may choose a PIR of 10.5%. A testamentary trust with minor beneficiaries is eligible for the PIR of 10.5% if all the settlements onto the trust were made under a will, codicil, intestacy or court variation, and (s [HC 37](#)):

- # the minor beneficiary is alive within 12 months of the settlor's death, or
- # the minor beneficiary has a sibling or half sibling alive within 12 months of the date of the settlor's death.

A trustee with a PIR of 10.5% is not able to treat the attributed income as excluded income and, therefore, the trustee must include the attributed income by the multi-rate PIE in the trust tax return and is responsible for paying any further tax associated with the attributed income after taking into account the 10.5% tax applied by the multi-rate PIE.

The multi-rate PIE applies any available tax credits (including RWT and imputation credits) to satisfy the tax liability of 10.5% on the attributed income. If the credits exceed the tax liability, the multi-rate PIE appropriately increases the trustee's investor interest in the fund or makes a distribution to the trustee investor. Any loss attributed by the multi-rate PIE does not flow-through to the trustee. The multi-rate PIE utilises the losses and appropriately adjusts in a similar manner by either adjusting the trustee's investor interest in the fund or by making a distribution to the trustee investor.

A PIR of 17.5%

A trustee with a PIR of 17.5% is also not able to treat the attributed income as excluded income and similarly, the trustee is required to include the attributed multi-rate PIE income in a tax return and satisfy any further tax obligations after taking into account the 17.5% tax applied by the multi-rate PIE. Any tax payable is to be paid by the trustee depending on whether the income is to be taxed as trustee income or as beneficiary income.

Any available tax credits and loss attributed by the multi-rate PIE follows the same treatment as discussed above for the PIR of 10.5%.

Listed PIE dividends

A listed PIE calculates assessable income and pays income tax in the same manner as a conventional company ([129-125](#)). Dividends distributed by the listed PIE must be fully imputed (to the extent available).

Generally, dividends paid by the listed PIE are excluded income in the hands of shareholders. Treating the dividends as excluded income allows the listed PIE to distribute without taxation to shareholders any share sale gains that have been excluded income for the PIE itself. This also enables the listed PIE to distribute gains of a capital nature without taxation in the hands of shareholders.

However, s [CX 56C](#) permits for a New Zealand resident trustee or resident individual to elect to treat the dividends as taxable income in a tax return. This treatment provides shareholders access to any excess imputation credits and allows them to use these as tax credits against tax on other taxable income.

For discussion on the taxation of distributions from group investment funds, see [124-070](#).

Law: IT07 ss [CQ 5](#), [CX 56](#), [CX 56B](#), [CX 56C](#), [EX 19](#), [EX 62\(8\)](#), [HM 19](#), [HM 52](#), [HM 57](#), [HM 60](#), Sch [6](#)

Last reviewed on 31 December 2025

Deductions, tax credits and trust losses [¶25-160]

[¶25-160]

[Click to open document in a browser](#)

Deductions

A trustee is entitled to claim deductions for amounts incurred in deriving income, and, for these purposes, any amount paid out as beneficiary income is deemed to be income derived by the trustee. This ensures that the expenditure of the trust will be deductible even if all of the income of the trust is distributed as beneficiary income (s [DV 9\(2\)](#) and [¶25-275](#)).

Legal expenses of \$10,000 or less are deductible irrespective of whether they relate to income or capital ([¶10-680](#)). Legal expenses in excess of \$10,000 incurred in making the application to the court will be deductible in the same proportion to which the remuneration is deductible.

Legal form of trust relationship must be recognised for tax purposes

In *Brown v C of IR* ([\(2014\) 26 NZTC ¶21-089](#)), deductions for interest paid by the taxpayer on behalf of the trustee borrower were denied because the taxpayer did not incur the interest expenditure and there was no nexus between the payments made by the taxpayer and his income-earning activity. There was no contractual obligation on the trust to pay the taxpayer the amount of interest that he had paid on its behalf. A resolution of the trustees could not create a legally enforceable right on the part of the taxpayer to be reimbursed.

Bad debts

Deductions for bad debts are allowable against trustees' income in certain circumstances. The general rules for establishing deductibility of bad debts were applied to a trustee taxpayer in Case Z21 ([\(2010\) 24 NZTC 14,286](#)). The TRA accepted there was sufficient evidence to establish a business of dealing in financial arrangements, which made the bad debts deductible. A trustee of an *inter vivos* trust with bad debts cannot otherwise obtain a bad debt deduction. For deductibility of bad debts in respect of a deceased person's estate, see [¶25-670](#).

Tax credits

A trustee can use tax credits such as imputation credits to satisfy the trustee's income tax liability ([¶25-130](#)). However, in determining income tax liability a trustee is not entitled to any tax credits under subpart [LC](#) or [LD](#) (s [HC 24\(2\)](#) and *Tax Information Bulletin* [¶2210-110 Vol 22, No 10](#), November 2010 at 99). However, s [LE 2](#) allows tax credits to be converted to a tax loss and carried forward ([¶25-130](#)).

RWT credits can be allocated at the trustee's discretion. To achieve this a trustee can substitute cash distributions (a substitution payment) to beneficiaries for RWT credits. The trustee is then permitted a credit to the extent that the trustee substitutes cash for RWT credits (ss [LB 3\(1\)](#), [\(4\)](#), [\(5\)](#), [RE 2\(7\)](#)).

Example:

The trustee of the S Trust derives \$100.00 interest income (\$67.00 cash and \$33.00 RWT credit). The trustee resolves to distribute the entire payment to a beneficiary with a marginal tax rate of 17.5%.

The trustee pays \$67.00 cash to the beneficiary from the interest income received with a further cash payment (the substitution payment) of \$15.50 together with \$17.50 (of the original \$33.00 RWT credit). The tax on \$100.00 for this beneficiary is \$17.50 so the beneficiary receives cash of \$82.50 and the \$17.50 RWT credit, and the beneficiary has no further tax liability.

The trustee offsets the substitution payment of \$15.50 with the balance of the RWT credit of \$15.50 and is in a revenue neutral position.

For RWT purposes the payment can be demonstrated as follows:

	Gross Income	Net Income	Substitution Payment	RWT	net result	Gross Income	Net Income	Substitution Payment	RWT	net result	Gross Income	Net Income	Substitution Payment	RWT	net result
Trustee	100.00	87.00		33.00	Trustee	100.00	87.00		33.00	Trustee	100.00	87.00		33.00	Trustee
Beneficiary	100.00	87.00	15.50	17.50	Beneficiary	100.00	87.00	15.50	17.50	Beneficiary	100.00	87.00	15.50	17.50	Beneficiary
		(RUCS& IS&M cash paid)					(RUCS& IS&M cash paid)					(RUCS& IS&M cash paid)			
Trustee	00.00	15.50	15.50	00.00	Trustee	00.00	15.50	15.50	00.00	Trustee	00.00	15.50	15.50	00.00	Trustee
							(32.50 total cash paid)					(32.50 total cash paid)			
												(87.50 total cash paid)			

Trust losses

If a trust has tax losses, confusion can arise about the timing of the offset of those losses and the interplay between the allocation of trustee and beneficiary income.

Example:

A trust has tax losses but current-year accounting profits. If losses were offset against current-year income before the allocation between trustee and beneficiary income, there would be no income available to distribute to the beneficiaries. The trust deed should be referred to in the first instance to see whether it provides how losses shall be allocated between income and capital. If there is any current-year income in which the beneficiaries have a vested interest or that has been "paid" in terms of the income tax legislation, it seems that it is only the balance that is "trustee income". It is at this point that any prior year losses are offset. Beneficiary income and trustee income are defined in ss [HC 6](#) and [HC 7](#) by reference to income derived, and under the core provisions of the IT07, losses are offset after net income is determined. See [11-380](#). This order would mean the loss offset would apply after deciding the allocation between trustee and beneficiary income.

Tax losses can be offset against taxable distributions from a non-complying trust

A beneficiary of a non-complying trust can apply a tax loss to reduce the amount of a taxable distribution from a non-complying trust that is derived in the corresponding income year (ss [HC 22](#) and [IA 3\(3\)](#), [125-360](#)).

Law: IT07 ss [BC 4\(4\)](#), [DV 9](#), [HC 22](#), [IA 3\(3\)](#), [LB 3](#), [LE 2](#), [RE 2](#)

Last reviewed on 31 December 2025

Trustee liability [¶25-175]

[¶25-175]

[Click to open document in a browser](#)

A trustee is personally liable to meet a trust's income tax and GST obligations. Where there is more than one trustee, the trustees are treated as if they were a notional single person, and they are jointly and severally liable to meet the obligations of the notional single person. Notwithstanding that liability is personal a trustee is liable "only in the capacity of trustee of the trust" meaning that the trustee must separately account for tax liabilities incurred in any other capacity (s [YA 1](#) ("trustee")).

With effect from 23 March 2020, if no election is made under s [HC 33](#), the notional single person is a New Zealand resident when one or more of the trustees is resident in New Zealand and non-resident when none of the trustees is resident in New Zealand.

Limitations of liability contained in trust deeds do not protect a trustee from third party creditors or legislative provisions that determine liability.

A trustee is liable for a trust's income tax

A trustee is personally liable for tax on trustee income. Where there are 2 or more trustees, the liability is joint and several. This means that IR can seek to recover a tax debt from any trustee. See *Dorchester Finance Ltd v Ngahuia Ltd* ([2010](#)) 3 NZTR ¶20-001. It is up to a trustee who incurs a personal liability to then seek reimbursement from the trust or any co-trustee(s). See *Selkirk v McIntyre* ([2013](#)) 3 NZTR ¶23-002.

The liability for income tax does not differentiate between a trustee that can also benefit from the trust as a beneficiary and an independent or professional trustee who cannot.

Although a beneficiary is liable to file a tax return, the trustee is generally liable to pay the tax on beneficiary income and taxable distributions as agent of the beneficiary (s [HC 32\(2\)](#)). The beneficiary can claim a credit for the tax paid on the beneficiary's behalf by the trustee. When the beneficiary is a non-resident, the trustee's liability as an agent is limited to income the beneficiary derives from New Zealand. If the trustee fails to meet a beneficiary's tax obligations and the beneficiary is a New Zealand resident, the liability for tax falls on the beneficiary.

Settlor can be liable for income tax as the trustee's agent if there is no resident trustee

A resident settlor has a residual liability for income tax if there is no resident trustee. A settlor who is liable for income tax is liable (subject to a number of exceptions) as the trustee's agent. Where there is more than one settlor, liability is joint and several.

Trustee shareholder of a qualifying company is liable for the company's income tax

A trustee shareholder of a qualifying company must elect to be personally liable for the company's income tax. This liability for income tax is proportionate to the trustee shareholder's shareholding. However, this rule is modified for trustee shareholders who are not beneficiaries so that liability for those shareholders is limited to the assets of the trust.

Trustee is liable for GST

A trustee is personally liable for unpaid GST. As with income tax, this liability applies equally to trustees who can benefit from the trust and independent or professional trustees. See *Selkirk v McIntyre* ([2013](#)) 3 NZTR ¶23-002. Although this liability is limited to GST debts incurred while the person is a trustee, liability continues (regardless of whether a person has retired as a trustee) until the person notifies the

Commissioner in writing that that person is no longer a trustee (s 57 of the Goods and Services Tax Act 1985 (GST Act)).

The director and shareholders of a corporate trustee can be liable for income tax and GST

Directors and controlling shareholders are liable for a company's GST and income tax where an arrangement is entered into in relation to a company and an effect of that arrangement is that a company cannot meet income tax and GST liabilities ([¶16-880](#)). For a director to be liable in these circumstances, the director must have either known about the arrangement or have derived a benefit from the arrangement. Shareholders can be liable as the company's agent. However, the liability for a shareholder is limited to the greater of the shareholder's interest or the value derived by the shareholder.

A common response to the issue is for a person to act as the director of a trustee company, rather than as a trustee in a personal capacity. The trustee company in question may limit the ability to have recourse to the trust's assets and will likely have no assets of its own to settle any claim against the trustee. However, a director may be able to seek protection from costs on account of proceedings under a *Beddoe Order*. See *Refrigerant Recovery NZ Limited v The Trust for the Destruction of Synthetic Refrigerants* [\[2024\] NZHC 3933](#).

It is important to appreciate that regardless of whether a company is a trustee company, the directors of the company must still meet the requirements of the [Companies Act 1993](#) (C93). It is also important to ensure compliance with the terms of the trust. See *Jacomb v Jacomb* [\(2020\) 5 NZTR ¶30-010](#). Proper purpose regarding the appointment of a corporate trustee is also a relevant consideration. See *Legler v Formannojj* [\[2024\] NZSC 173](#).

The extent of the duties incumbent on a director mean that the unconsidered interpolation of a trustee company can leave the director of the trustee company liable to suit for failure to act in accordance with the C93. When a corporate trustee is appointed, while the company acts as a trustee and as such has all the powers and discretions of a natural person trustee, the director of the corporate trustee is responsible to the company, not the trust, when it comes to matters such as reckless trading and failure to act in the company's best interests (*Vance v Lamb* [\(2008\) 2 NZTR ¶18-024](#)).

A corporate trustee with no assets on its own account can also pose a risk to other trusts that share the same trustee. These risks were highlighted in *C of IR v Newmarket Trustees Ltd* [\(2012\) 25 NZTC ¶20-139 \(CA\)](#) where a company with multiple trustee appointments, unsuccessfully applied to set aside a statutory demand for unpaid income tax and GST on grounds that included the inconvenience and expense that solvent trusts for whom the trustee also acted would incur. Also see *Black v Giltech Precision Castings (2004) Ltd* [\(2012\) 3 NZTR ¶22-021](#).

Law: IT07 ss [HA 5](#), [HA 8](#), [HA 28](#), [HC 2](#), [HC 24](#), [HC 29](#), [HC 32](#), [HD 4](#), [HD 15](#), [YD 3BA](#); GST ss [57](#), [61](#)

Last reviewed on 31 December 2025

Beneficiary income [¶25-200]

[¶25-200]

[Click to open document in a browser](#)

Trust income is beneficiary income or trustee income

Income earned by a trustee is either trustee income or beneficiary income. Income distributed to a beneficiary is, with few exceptions, taxed to the beneficiary at the beneficiary's marginal rate. Although the dichotomy between trustee and beneficiary income is simple in principle, differentiating between trustee and beneficiary income can be less straightforward in practice.

Definition of “beneficiary income”

“Beneficiary income” means income derived by the trustee in an income year to the extent to which:

- # it vests absolutely in interest in a beneficiary in the income year, or
- # is paid to a beneficiary in the income year, or by the later of:
 - # a date within 6 months of the end of the income year, or
 - # the earlier of:
 - a. the date on which the trustee files the tax return, or
 - b. the date by which the trustee must file a tax return under s 37 of the TAA.

If a trust deed includes a clause that provides that any income not allocated or paid within 6 months will be capitalised, care is required to ensure that the relevant terms of the deed of trust permit (or can be varied to permit) income to be paid outside the 6-month period.

The definition of “beneficiary income” includes an RWT substitution payment, but does not include:

- # income derived by a trustee in any income year during which the trust is a superannuation fund or an approved unit trust referred to in cl 2 of the Income Tax Act (Exempt Unit Trusts) Order 1990
- # an amount by which a tax credit of a beneficiary for RWT is reduced by an amount of an RWT substitution payment under s LB 3(6)
- # an amount of a detached tax credit of a beneficiary allocated under s LB 3(5), and
- # income derived by a trustee to which ss CC 3(2) (financial arrangements) and EW 50 (income when debt forgiven to trustee) apply (¶6-358).

Vests absolutely in interest

For the purposes of the definition of “beneficiary income”, income “vests absolutely in interest” in a beneficiary where the beneficiary obtains an immediate fixed right of present or future possession of the income. For example, income derived by a trustee will ordinarily immediately vest absolutely in interest in a beneficiary with a life interest in the income of the trust. Income will also vest in a beneficiary through an appropriate resolution, following which the income is the beneficiary's income. See ss CV 13(a) and HC 17. A trustee cannot cancel a resolution without committing fraud against the beneficiary (*Re Vesty's Settlement* [1951] Ch 209 and *C of IR v Ward* 69 ATC 6050; [1970] NZLR 1).

From a trust law perspective, the payment or application must constitute a valid exercise of a power available to the trustees under the trust instrument. The following examples illustrate conditional and unconditional allocations of trust income:

Example: Vesting in interest – unconditional

A trustee might allocate an amount of income to an 8-year-old beneficiary with a right to possess the amount in 10 years when the beneficiary is aged 18. The amount would be vested in interest as the beneficiary has immediately received an indefeasible right

to the amount, despite not having a right to possess the amount. After making the allocation, the trustee could not change their mind about giving the income to the beneficiary. If the beneficiary died before reaching 18, the income would become part of the beneficiary's estate and would not revert to the trust.

Example: No vesting – conditional allocation

A resolution by a trustee that an amount of income will be allocated to a beneficiary if they reach the age of 18 will not vest that amount of income in the beneficiary unless and until that condition is satisfied. The resolution is conditional on the beneficiary reaching the age of 18. If the beneficiary dies before reaching that age, the condition in the resolution will not be met and the amount will remain trust property. The income will be trustee income in the year it is derived.

Examples reproduced from [IS 24/01](#), Taxation of trusts, February 2024 at 40

Paid

Income will be “paid” to a beneficiary if the income is transferred to the beneficiary in money or money's worth. It is not necessary that the income be transferred directly to the beneficiary; it is sufficient that the income is placed unreservedly at the disposal of the beneficiary (*Tax Information Bulletin* ¶15-114 Vol 1, No 5, November 1989, Appendix, para 5.24). The definition of “pay” in s [YA 1](#) includes to distribute, to credit, or to deal with in the interest or on the behalf of.

Income will be paid to, or will vest in, a beneficiary, if, among other things, the trustees pass a resolution that results in the income becoming the absolute property of the beneficiary.

Deemed income can give rise to beneficiary income

Deemed income (eg FIF income) may not result in actual cash flow to a trust in the year it is derived, or at all. This mismatch between trust law income and tax law income raises the question as to whether deemed income can give rise to beneficiary income. The Commissioner's position outlined in interpretation statement [IS 12/02](#), “Income tax — whether income deemed to arise under tax law, but not trust law, can give rise to beneficiary income” (*Tax Information Bulletin* ¶247-104 Vol 24, No 7, August 2012 at 49), is that the correct treatment of deemed income depends on the terms of the deed of trust.

If the trust deed does not define income, that is tax law and trust law income for a trust are different, the deemed income will be treated and taxed as trustee income.

Payment by resolution

If the trustees resolve to allocate income of the trust to more than one beneficiary, the resolution must irrevocably provide for a fixed amount or share of that income to be allocated to each of those beneficiaries. Although the entitlement of each beneficiary must be certain, the resolution need not define a specific sum (*Davidson v C of IR* (1976) 2 NZTC 61,121).

Identification of income

It is arguable that an amount that is income for tax purposes but that would otherwise have been accounted for as capital by a trustee does not technically meet the definition of either trustee or beneficiary income. An example of such is income that arises as a result of the application of the financial arrangements rules. This “income” is derived only for tax purposes and would otherwise be recorded as a capital gain to the trustees.

The practical difficulty for trustees where the income is not actually received in any conventional sense is to determine firstly whether there is any compliance with the definition of beneficiary income and secondly how to meet the trust's tax obligations and ensure compliance with the terms of the deed of trust.

The issue may seem esoteric and largely irrelevant. However, on closer consideration, it is clear that some trustees will struggle to reconcile tax and trust obligations in respect of certain income. While this may be of

no moment if all beneficiaries are beneficiaries as to capital and income, the distinction is far more important when say there is a class of beneficiary that is only entitled to income and a class of beneficiary only entitled to capital. The power to determine whether a return on investment is income or capital in s [60](#) of the TRU will be of assistance to trustees confronting such matters.

Law: IT07 ss [HC 5](#), [HC 6](#)

Last reviewed on 31 December 2025

Residence of beneficiaries [¶25-215]

[¶25-215]

[Click to open document in a browser](#)

A resident beneficiary is taxed on all beneficiary income and taxable distributions whether comprised of amounts derived from New Zealand or from offshore. However, in the event that a person ceases to be a New Zealand resident and within a period of 5 years renews that person's New Zealand residence, any beneficiary income derived from a foreign or non-complying trust or any taxable distribution derived during the beneficiary's absence (commencing with the day on which the person ceases to be resident in New Zealand and ending when that person again becomes resident in New Zealand) is taxed in the year the beneficiary again becomes resident. These rules are designed to prevent a beneficiary changing residence to defeat the trust rules.

Also see [IS 25/16](#), "Tax residence" which provides IR guidance regarding trusts operating across jurisdictions.

Law: IT07 ss [CV 15](#), [HC 23](#)

Last reviewed on 31 December 2025

Non-resident beneficiaries [¶25-230]

[¶25-230]

[Click to open document in a browser](#)

A non-resident beneficiary is only taxed on beneficiary income and taxable distributions comprising amounts derived from New Zealand. This means that a non-resident beneficiary in receipt of a foreign-sourced amount passing through a complying, foreign or non-complying trust is not liable for New Zealand tax. Such a beneficiary is only liable to New Zealand tax in relation to income deemed to be derived in New Zealand.

Non-resident beneficiaries are able to benefit from the foreign investor tax credit regime if they derive dividends and supplementary dividends as beneficiary income from New Zealand resident companies in terms of s [LP 2](#) ([¶26-500](#)). Section [LP 6](#) clarifies that the payment of a supplementary dividend to a non-resident beneficiary of a fixed trust will not contravene any terms of the trust. Section [LE 5](#) contains anti-streaming rules that take into account the effect of any supplementary dividend received by a non-resident beneficiary ([¶25-260](#)).

Also see [IS 25/16](#), “Tax residence” which provides IR guidance regarding trusts operating across jurisdictions.

Law: IT07 ss [LE 5](#), [LP 6](#)

Last reviewed on 31 December 2025

Distributions to beneficiaries — overview [¶25-245]

[¶25-245]

[Click to open document in a browser](#)

Types of distribution

Generally, 2 types of distributions from trusts to beneficiaries are taxable: distributions of “beneficiary income” and “taxable distributions”. For a more detailed explanation of these types of distribution, see [¶25-200](#) and [¶25-360](#), respectively.

Another type of distribution made from a community trust is included in the income of beneficiaries. For the tax treatment of distributions from community trusts, see [¶24-133](#).

Resident beneficiaries of all 3 categories of trust (complying trusts, foreign trusts and non-complying trusts) are subject to tax on beneficiary income. Beneficiaries of foreign trusts and non-complying trusts are also taxed on taxable distributions ([¶25-360](#)).

Non-resident beneficiaries are subject only to tax on distributions comprising of amounts derived from New Zealand ([¶25-230](#)).

Rates of tax

Distributions of beneficiary income are included in the income of the beneficiary and taxed at the beneficiary's marginal rate of tax. Taxable distributions from foreign trusts are also included in the income of the beneficiary and taxed at the beneficiary's marginal rate of tax. Taxable distributions from non-complying trusts are not included in the income of beneficiaries but are taxed at the penal rate of 45% ([¶25-500](#)).

Beneficiary income retains same character as when derived by trustee

Income derived by a trustee retains its character whether the income is taxed as trustee income or beneficiary income: *Baker v Archer-Shee* [1927] AC 844 and *Syme v Webb* [1914] AC 1013, eg foreign sourced income derived by trustees retains its character as foreign-sourced income when distributed as beneficiary income, dividends derived by trustees retain their character as dividends when distributed as beneficiary income, etc.

This principle does not apply in the case of taxable distributions. In the Commissioner's view, such distributions constitute a separate category of income in a beneficiary's hands (*Tax Information Bulletin* [¶15-117 Vol 1, No 5](#), November 1989, Appendix, paras 8.7 and 8.8).

Beneficiaries do not receive deductions

A person with beneficiary income does not receive a deduction for any expenditure or loss that the trustee has incurred in deriving that income (s [DV 9\(1\)](#)). However, a trustee can treat beneficiary income as trustee income for the purposes of determining the trustee's deductions for a tax year. The deduction is therefore available to the trustee.

Trustee liable for tax as agent of beneficiary

Generally, a trustee of a trust is liable to pay the tax on beneficiary income and taxable distributions as agent of the beneficiary. The beneficiary must return beneficiary income and taxable distributions in their own tax return, but can claim a credit for the tax paid on their behalf by the trustee. Should the trustee fail to meet

a beneficiary's tax obligations and the beneficiary is a New Zealand resident, the liability for tax falls on the beneficiary. When the beneficiary is a non-resident, the trustee is liable as an agent for any of the income the beneficiary derives from New Zealand. However, a trustee is not liable as agent of the beneficiary in respect of distributions from community trusts. Beneficiaries of community trusts are accountable for their own tax on distributions from community trusts (s [HC 32](#) and [§24-133](#)).

Distributions and resulting acquisitions treated as occurring at market value

When the trustees of a trust distribute property to a beneficiary or when property is resettled onto another trust, the transfer is valued at market value for both the transferor and the transferee. The effective date of the transfer is the date on which the transaction occurs (subpart [FC](#), [§25-660](#) and [§25-710](#)).

Law: IT07 ss [CV 13](#), [DV 9](#), [HC 17–HC 20](#), [HC 32](#), [HD 12\(1\)](#)

Last reviewed on 31 December 2025

Beneficiary income and imputation [¶25-260]

[¶25-260]

[Click to open document in a browser](#)

Special rules govern the allocation of imputation credits to beneficiaries to prevent trustees from streaming credits to beneficiaries who may be better able to use them in preference to those beneficiaries who may not be in a position to use them — eg beneficiaries who are non-resident or tax exempt.

Imputation credits attached to dividends distributed as beneficiary income are allocated to beneficiaries based on the following formula:

$$(\text{person's distributions} \div \text{trust distributions}) \times (\text{total beneficiary credits} \div \text{person's supplementary dividend})$$

where:

person's distributions is total distributions for the tax year made to the beneficiary.

trust distributions is total of all distributions made to all the beneficiaries for the tax year.

total beneficiary credits is the total imputation attached to the dividends paid to all beneficiaries, including credits attached to supplementary dividends paid to the beneficiaries.

person's supplementary dividend is the total supplementary dividends paid to the beneficiary for the tax year.

This rule applies even if, for example, one beneficiary receives all dividend income and another receives non-dividend or capital payments only.

Beneficiaries are entitled to set off the allocated credits against their income tax liability for the year. Any excess credits will either be converted to a net loss to carry forward, or will be carried forward as a credit of tax to the next income year ([¶17-010](#)).

A minor beneficiary's share of imputation credits attached to dividend income distributed to that beneficiary is available to the trustee as a credit against any tax payable by the trustee on minor beneficiary income.

Dividends from qualifying company

Section [HA 14](#) provides that dividends paid by a qualifying company are exempt income in the hands of the recipient. The exemption remains if the dividend received by a trustee shareholder is distributed as beneficiary income. That is, a New Zealand resident beneficiary receives such dividends as exempt income as if the beneficiary was the shareholder (s [CW 15](#)).

Look-through companies

A company that has elected into the look-through company (LTC) regime is excluded from the definition of company for the purposes of the IT07. This means that LTCs do not keep memorandum accounts and the rules that apply to the payment of dividends do not apply to LTCs ([¶19-200](#)).

Law: IT07 ss [CW 15](#), [HA 16](#), [LE 2](#), [LE 4](#), [LE 5](#)

Last reviewed on 31 December 2025

Beneficiaries and foreign tax credits [¶25-275]

[¶25-275]

[Click to open document in a browser](#)

A beneficiary is allowed a foreign tax credit for foreign tax paid on beneficiary income derived from an overseas jurisdiction. However, a beneficiary in receipt of a taxable distribution from a foreign or non-complying trust is entitled only to a foreign tax credit for tax paid that is the equivalent of non-resident withholding tax.

From 1 April 2025, a beneficiary who receives a distribution of foreign-sourced income from a trust must take into account any deductions that relate to that income when calculating their foreign tax credit entitlement (s [LJ 5\(7\)](#)). See Example in [Tax Information Bulletin Vol 37 No.5, June 2025](#) at 143.

Law: IT07 ss [LJ 5\(7\)](#), [LJ 6](#)

Last reviewed on 31 December 2025

Beneficiaries occupying family home owned by trust [¶25-285]

[¶25-285]

[Click to open document in a browser](#)

It is common in New Zealand for family homes to be transferred to a trust by individuals who may be settlors, trustees and beneficiaries of the trust. These individuals may also occupy the family home. This occupation can be by way of a licence granted before the transfer or more often under a trustee resolution.

When trustees resolve to make trust property such as the family home available rent free to beneficiaries in their capacity as beneficiaries, this is generally a distribution of capital that does not give rise to any income tax consequences. However, note that if the trust is a foreign or non-complying trust, the distribution could be taxable to beneficiaries ([¶25-360](#)). Where beneficiaries personally pay expenses, such as rates and insurance, that are legally the trustee owner's obligations, such payments should be recorded as an advance to the trustees.

Regardless of how the expenses are treated, it is important that the terms on which the trust property are occupied is correctly documented, eg in a trustee resolution. Unless trustees have made a non-active declaration, the trustees will also need to consider how the use of trust property is accounted for when completing domestic trust reporting.

If beneficiaries are meeting the expenses incidental to occupation, it is important to clarify whether the beneficiaries are also meeting any interest on money borrowed by the trust to acquire the home, and if so, whether these payments will be recorded as a loan or gifts (*Tax Information Bulletin* [¶238-106 Vol 23, No 8](#), October 2011 at 18–19).

Note that where a beneficiary meets costs incidental to occupation, this is not taken into consideration for the purposes of determining a trust's assessable income (s [43B](#)). Where outgoings paid by a beneficiary are more than "incidental to the occupation of a dwelling" such payment may be treated as an advance or as rental income. If payment of expenses is treated as rental income, a tax return will have to be filed by the trust. As the outgoings are deductible expenditure to the trust, the net income would likely be nil. If payment of the expenses is treated as an advance, that advance will remain an asset in the hands of the person who made the advance, unless or until the amount of the advance is gifted to the trustees. If the payment of expenses is intended to be a gift, the making and acceptance of the gift should be recorded in a deed of gift.

Also see QWBA, [QB 19/15](#), "If property held in a trust is rented out by a beneficiary of the trust for short-stay accommodation, who should declare the income, and what deductions can be claimed?" and QWBA, [QB 19/16](#), "If property held in a trust is rented out by the trustees for short-stay accommodation, who should declare the income, and what deductions can be claimed?" See [¶5-232](#) and [¶10-113](#).

Note: The Taxation (Annual Rates for 2025–26, Compliance Simplification, and Remedial Measures) Bill proposes a tax exemption for income derived by an individual from the residential supply of excess electricity. The exemption, which would be available to a beneficiary living in trust property, will not apply to the trustees.

Law: TAA s [43B](#)

Last reviewed on 31 December 2025

Trust classification [¶25-300]

[¶25-300]

[Click to open document in a browser](#)

Trusts are classified into 3 categories for tax purposes. These are complying trusts (formerly known as qualifying trusts) ([¶25-310](#)), foreign trusts ([¶25-320](#)) and non-complying trusts (formerly known as non-qualifying trusts) ([¶25-330](#)).

The significance of the distinction between the categories of trust lies in the tax treatment of distributions made from them. Distributions of “beneficiary income” are taxed at the beneficiaries’ marginal rates regardless of the category of trust from which they are made. However, for distributions other than beneficiary income, the tax treatment depends on the category of trust from which the distribution is made. The position may be summarised as follows:

- # *Complying trusts* — all distributions other than beneficiary income are received by beneficiaries tax-free
- # *Foreign trusts* — all distributions other than beneficiary income and certain arm’s length capital gains and the corpus of the trust are taxed at the beneficiaries’ marginal rates of tax, and
- # *Non-complying trusts* — all distributions other than beneficiary income and the corpus of the trust are taxed to beneficiaries at the penal rate of 45%.

For more on the tax treatment of distributions from trusts, see [¶25-200](#), [¶25-360](#) and [¶25-500](#).

Dual status trusts — foreign trusts that are also complying trusts

A trust that has no New Zealand resident settlors will be a foreign trust ([¶25-320](#)). However, such a trust may also be a complying trust if the trustees have paid tax on all their worldwide trustee income at the trustee rate ([¶25-310](#)). For example, a trust established in New Zealand by non-resident settlors with New Zealand resident trustees to hold New Zealand assets, such as a farm or other real estate, will be a complying trust if it has filed tax returns in New Zealand and paid tax on its worldwide income and otherwise complied with all its tax obligations.

The tax treatment of a trust is determined by its classification as a complying, foreign or non-complying trust and, as such, it was never intended that a trust should have a dual status. In the 1989 *Tax Information Bulletin* published after enactment of the current trust tax regime, IR stated that if a foreign trust also satisfied the definition of a complying trust (then a qualifying trust), it would be treated as a complying trust.

However, following the 2017 changes to the foreign trust disclosure regime, all foreign trusts must register as a foreign trust under the disclosure regime. The current legislation does not exclude a foreign trust from being a foreign trust if it is also a complying trust. Therefore, a trust that is both a foreign trust and a complying trust needs to meet the registration and disclosure requirements that apply to foreign trusts. IR also takes the view that all dual status trusts must register under the foreign trust disclosure regime.

Law: IT07 s [HC 9](#)

Last reviewed on 31 December 2025

Complying trusts [¶25-310]

[¶25-310]

[Click to open document in a browser](#)

Most trusts settled by a New Zealand resident settlor fall within the definition of complying trust in s [HC 10](#).

Complying trust defined

A complying trust is a trust for which, for the life of the trust, the trustees:

- # are liable for tax at the trustee rate on all their worldwide trustee income, and
- # have always met their income tax compliance obligations.

The “life of the trust” includes every income year from the start of the income year in which a settlement was first made on the trust up to the time of a distribution.

For all of the trust’s income to be taxable in full, the trustee’s income cannot include any income that is non-resident passive income, non-residents’ foreign-sourced income, or foreign-sourced amounts. Complying trust income is taxed as trustee income, or beneficiary income at the beneficiary’s marginal rate. Distributions of accumulated income, capital gains and corpus from a complying trust are exempt income to the recipient beneficiary and are tax-free (s [HC 20](#)).

Election to be a complying trust

With effect from 23 March 2020, the point in time from which a trust will be a complying trust if an election has been made to pay New Zealand tax on worldwide trustee income has been clarified. The main clarification is that a trust will be a complying trust for a distribution of trustee income earned after the application date of the election. An election may be made for a trust to alter its state from a foreign or a non-complying trust to become a complying trust ([¶25-420](#) and [¶25-530](#)). A complying trust is either:

- # a trust that has always had a New Zealand resident settlor and has always satisfied its New Zealand tax obligations on its taxable income, or
- # a trust that has elected (or is deemed to have elected) to pay New Zealand tax at the trustee rate on worldwide trustee income and, for all income years beginning on or after the date on which the election applies, has always satisfied its New Zealand tax obligations for its taxable income.

All of trustee’s New Zealand income tax obligations must be satisfied

To be a complying trust in relation to a distribution, in all tax years since the trust was first settled, all of the trustee’s New Zealand tax obligations must have been satisfied.

Satisfaction of trustee’s income tax obligations

For the purposes of the definition of “complying trust”, a trust that is a non-complying trust only because income tax has been underpaid or some other tax obligation has not been met can retrospectively become a complying trust if the tax obligation is satisfied (s [HC 10\(1\)\(ac\)](#)). Taxable distributions made during the period when there was an underpayment or some other tax obligation not met are effectively unwound.

All income paid out as beneficiary income

In some circumstances, a trustee may derive income but pay it all out as beneficiary income, and therefore not be liable for income tax in respect of that income. This would not, in the Commissioner’s view, take a trust outside the definition of a complying trust (*Tax Information Bulletin* [¶69-103 Vol 6, No 9](#), February 1995 at 2).

No trustee income includes exempt foreign-sourced income

A trust will not be a complying trust in a tax year in which it makes a distribution if, in any tax year since the trust was first settled, a New Zealand resident trustee of a trust that does not have a settlor who is a New Zealand resident (who is not a transitional resident) has derived any exempt foreign-sourced amount.

In broad terms, a “foreign-sourced amount” is an amount that is not derived from New Zealand. A foreign-sourced amount will be exempt income to a trustee to the extent that s [HC 26](#) applies (s [CW 54](#)).

Exemption for foreign-sourced amounts

There is a limited exemption that relieves a non-resident trustee from the obligation to pay tax on income derived from outside New Zealand and that would otherwise be included in the trustee’s income (s [HC 25](#) and [¶25-100](#)). However, the exemption is disregarded when determining whether the trust is a complying trust. Accordingly, tax must be paid on trustee income. As neither the settlor nor the trustee will be liable for tax on the income, the trust will only be a complying trust in relation to distributions if an election to pay tax on trustee income is made in accordance with s [HC 33](#) and the tax is paid.

Superannuation funds

Superannuation funds are complying trusts (s [HC 10\(1\)](#) (“complying trust”).

Foreign trusts can become complying trusts by election

A foreign trust can become a complying trust if a settlor becomes resident in New Zealand and an appropriate election is made for the trust to pay tax on its worldwide trustee income. A right of election exists where on a day (the transition date) a natural person settlor who is not a transitional resident becomes a New Zealand resident or a settlor ceases to be a transitional resident and continues to be a New Zealand resident, and where the trust would have been a foreign trust had a distribution been made on the day immediately preceding the day that the settlor became a resident.

Any settlor, trustee or beneficiary of the trust may, by the first anniversary of the transition date (the election expiry date), elect to satisfy the income tax liability in respect of the taxable income of the trustees of the trust under s [HC 33](#). This enables the trust to become a complying trust. The election is made on form [IR463](#).

With effect from 23 March 2020, amendments clarify the point in time from which a trust will be a complying trust if an election has been made to pay New Zealand tax on worldwide trustee income. The main clarification is that a trust will be a complying trust for a distribution of trustee income earned after the application date of the election. A trust may elect to alter its state from a foreign or a non-complying trust to become a complying trust, but only from the date from which the election applies.

A foreign trust can have dual status as a foreign trust and a complying trust ([¶25-320](#)).

Distributions from trust

If such an election is made, for the purposes of the definition of a “taxable distribution” that trust is treated as:

a foreign trust to the extent to which the distribution consists of an amount derived by the trustee before the date of the election and which does not give rise after the transition date to an income tax liability that is paid before the distribution is made

a complying trust to the extent to which the distribution consists of an amount derived by the trustee:

before the date of the election and gives rise on or after the transition date to an income tax liability that is paid before the distribution is made, or

on or after the date of the election, if the requirements of s [HC 10\(1\)\(a\)](#) are met for the trustee income derived on or after the date of the election (ie no non-resident passive income, non-residents’ foreign-sourced income or exempt income under s [CW 54](#) is derived as trustee income and the trustee’s income tax obligations are satisfied)

a non-complying trust to the extent to which the distribution consists of an amount that would not be included in a distribution described in the previous bullet points.

If no election is made, for the purposes of the “taxable distribution” definition, the trust is treated as:

a foreign trust to the extent that the distribution consists of an amount derived by the trustee before the election expiry date and does not give rise on or after the transition date to an income tax liability
a non-complying trust to the extent that the distribution consists of an amount derived by the trustee:
before the election expiry date and gives rise on or after the transition date to an income tax liability,
or
on or after the election expiry date.

Where a settlor of a trust has migrated to New Zealand, a trustee of the trust may distribute accumulated trustee income to a beneficiary as exempt income. The amendments apply for a trust of which a settlor has migrated to New Zealand and:

has not made an election to pay tax on worldwide trustee income within the prescribed period, but
has taken steps under the voluntary disclosure rules or the voluntary election rules under s [HC 33](#) ([¶125-530](#)) to pay tax on worldwide trustee income for past years after the prescribed period has ended.

The amendments apply for a voluntary disclosure made before, on or after 23 March 2020, and an election made under s [HC 33](#) on or after 23 March 2020.

Complying trusts and unit trusts

A trust that meets the definition of both a “complying trust” and a “unit trust” is treated as a unit trust for tax purposes ([¶125-010](#) and [¶124-190](#)).

In public binding ruling [BR Pub 95/5A](#), the Commissioner clarified the relationship between unit trusts and qualifying (now complying) trusts stating that if an entity meets all the requirements of the definition of a unit trust, it falls outside the trust rules and is treated as a unit trust for tax purposes. Although the ruling was not extended beyond its termination date, in April 2000 the Commissioner advised that the non-renewal of the ruling should not be taken as indication of a change of interpretation of the legislation and that the Commissioner’s view on the issue remained the same.

Law: IT07 ss [BD 1\(4\)](#), [CW 54](#), [HC 10](#), [HC 25](#), [HC 26](#), [YA 1](#) (“foreign-sourced amount”)

Last reviewed on 31 December 2025

Foreign trusts [¶25-320]

[¶25-320]

[Click to open document in a browser](#)

From 21 February 2017, a trust is a “foreign trust” at a particular time if no settlor has been a resident of New Zealand in the period from the later of 17 December 1987 or the date the trust was first settled until that particular time. Previously the “foreign trust” definition was tied to the time a distribution was made. This meant that trusts could arguably escape the foreign trust disclosure rules ([¶25-550](#)) if a distribution had not been made even where there was a New Zealand resident trustee. As a result, the definition was amended.

The term “settlor” is defined extremely widely and in order to preserve foreign trust status, it is crucial that no inadvertent settlements are made on the trust by a New Zealand resident. For more on the definition of the term “settlor”, see [¶25-030](#). If a settlor of a foreign trust becomes resident in New Zealand, an election can be made for the trust to become a complying trust ([¶25-420](#)).

There are specific disclosure requirements for New Zealand resident trustees of foreign trusts that are not required in respect of complying trusts ([¶25-550](#)). However, note that the disclosure requirements will apply to complying trusts that are also foreign trusts. See discussion on dual status trusts at [¶25-300](#). Foreign trusts are also subject to certain record keeping requirements in New Zealand ([¶1-505](#)).

Law: IT07 ss [HC 10\(2\)](#), [HC 11](#)

Last reviewed on 31 December 2025

Non-complying trusts [¶25-330]

[¶25-330]

[Click to open document in a browser](#)

A “non-complying trust” is defined as any trust that, at the time a distribution is made, is neither a complying trust nor a foreign trust. In broad terms, this will be a trust where:

- # a settlor has been resident in New Zealand after the later of either:

- # 17 December 1987, or

- # the date on which the trust was first settled

- # but:

- # any trustee income was only non-resident passive income (eg the trustee is non-resident and derives interest or dividend income from New Zealand), or

- # foreign-sourced trustee income derived by the trustee has not been liable to New Zealand income tax (because a settlor has not been resident in New Zealand at all times since the later of those dates ([¶25-310](#))), or

- # the trustee income has been liable to income tax but the trustee's obligations in respect of that liability have not been satisfied.

Foreign and complying trusts can become non-complying trusts

A foreign trust may become a non-complying trust if no election to pay tax on trustee income is made within 12 months of a settlor of the trust becoming resident in New Zealand ([¶25-420](#)).

A complying trust may become a non-complying trust if no settlor (who is not a transitional resident) is a New Zealand resident and the trustee derives exempt foreign-sourced income, or the trustee is non-resident and any trustee income is only non-resident passive income ([¶25-410](#)).

Law: IT07 s [HC 12](#)

Last reviewed on 31 December 2025

Overview of distributions from trusts [¶25-350]

[¶25-350]

[Click to open document in a browser](#)

For tax purposes, at the time any distribution is made, a trust is classified as either a complying trust, a foreign trust or a non-complying trust. This classification is fundamental for determining the tax treatment of the distribution and the applicable tax rate. For a summary table on the tax treatment of the various distributions and the applicable tax rate, see [¶25-500](#).

Distribution from complying trusts

A distribution from a comply trust is only taxable for a beneficiary if it is beneficiary income. All other distributions from a complying trust to a beneficiary are exempt income. The concept of taxable distribution is not relevant for distributions from complying trusts.

Distribution from foreign trusts and non-complying trust

A taxable distribution is a distribution from a foreign trust or non-complying trust to a beneficiary that is included in the beneficiary income ([¶25-360](#)). A taxable distribution from a foreign trust is income of the beneficiary recipient and taxed at the beneficiary's marginal tax rate (s [HC 18](#)). A taxable distribution from a non-complying trust is excluded income for the beneficiary recipient but a tax rate of 45% is applicable (s [HC 19](#)).

The ordering rules in s [HC 16](#) apply when distributions are made to beneficiaries by foreign trusts or non-complying trusts ([¶25-370](#)).

Distribution includes monetary and non-monetary transfers

A trustee makes a distribution when the trustee transfers value to a person because the person is a beneficiary of the trust (s [HC 14](#)). A "transfer of value", which has a corresponding meaning to "transfers value", means a transfer between persons, being (s [YA 1](#)):

- # the provision of money or money's worth, whether or not convertible into money
- # the provision of money or money's worth, whether or not convertible into money, for more than market value,

and includes:

- # the release of an obligation to pay money, either by agreement or operation of law, and
- # a disposition of property at less than market value.

Example:

Making trust property (eg the family home) available rent free to beneficiaries in their capacity as beneficiaries is a distribution. See [¶25-330](#).

From 23 March 2020, an amendment has clarified that where a trustee pays a beneficiary interest on an amount owed to the beneficiary, the payment is not a distribution except to the extent the interest exceeds the greater of market rate and the prescribed rate of interest.

Law: IT07 ss [HC 14](#), [HC 15](#), [HC 17](#), [HC 18](#), [HC 19](#), [YA 1](#) ("transfer of value")

Last reviewed on 31 December 2025

Taxable distributions [¶25-360]

[¶25-360]

[Click to open document in a browser](#)

The concept of a taxable distribution does not apply to a complying trust. The only distribution from a complying trust that is included within a beneficiary's income is beneficiary income. Other distributions are received by beneficiaries of complying trusts tax-free.

Definition of taxable distribution

A "taxable distribution" is any distribution to a beneficiary from a foreign or non-complying trust, not being beneficiary income or distributions that comprise corpus of the trust (s [HC 15](#)).

In the case of a foreign trust, certain arm's length capital gains are also excluded from the definition of "taxable distribution" and can be distributed to beneficiaries tax-free (s [HC 15\(4\)\(c\)](#)). However, the exclusion does not extend to capital gains arising from transactions between the trustee and persons associated with the trustee. For this purpose, association is determined under subpart [YB](#). Distributions of this latter type of capital gain will be taxable. In addition, a foreign super withdrawal ([¶5-317](#)) and a pension are also excluded from being a taxable distribution of a foreign trust.

The source of a capital gain included in a taxable distribution is determined by applying the source rules in s [YD 4](#) that apply to income. This means that a non-resident beneficiary is not taxed on a capital gain included in a taxable distribution if that gain is not sourced in New Zealand, as New Zealand taxes non-resident beneficiaries only on their income and gains sourced from New Zealand. The same treatment is also applied to capital losses.

The payment date for tax on a taxable distribution from a non-complying trust is the terminal tax date of the person liable to pay the tax.

Definition of "corpus"

For tax purpose, "corpus" is defined in s [HC 4](#) as an amount equal to the market value at the date of settlement of any property settled on a trust. See Case Y25 ([2008](#)) 23 NZTC 13,270, which considers the valuation of corpus.

[IS 24/01](#), "Taxation of trusts", explains the parameters of corpus at [8.84] to [8.87].

There are 3 exclusions from the definition of corpus:

- # Corpus does not include a property settlement by a trustee of another trust to the extent to which, if the property were distributed to a beneficiary of the other trust and the beneficiary were resident in New Zealand, the distribution would be beneficiary income or a taxable distribution to that beneficiary (s [HC 4\(3\)](#)). This exclusion prevents the creation of corpus through resettlement of income or capital gains accumulated in one trust on the terms of another trust.
- # Property settled on a trust is not corpus if the settlor is allowed a deduction for the settlement for New Zealand tax purposes (s [HC 4\(4\)](#)). This exclusion ensures no further benefit can be obtained in the form of a tax-free distribution of corpus when a deduction is claimed for property settled.
- # Property settled on a trust is not corpus if, but for the fact of the settlement, it would be income of the settlor or would be income if the settlor were resident in New Zealand at the time of settlement (s [HC 4\(5\)](#))

Use of tax losses for non-complying trust

Specific provision is made to ensure that a beneficiary of a non-complying trust can claim a tax loss to which ss [IA 2–IA 10](#) apply to reduce the amount of taxable distributions. The amount of tax loss, which is

calculated in accordance with the formula in s [HC 22\(2\)](#), cannot be subtracted from the net income for the corresponding tax year for the purposes of s [IA 2\(2\)](#).

Interpretation statement

Interpretation statement, [IS 25/18](#), “Income tax — Whether money or property received by New Zealand tax residents from overseas is income from a foreign trust” discusses the tax treatment of amounts of money and property received by New Zealand residents from overseas, including by inheritance. [IS 25/18](#) covers how to determine if the amounts actually come from a trust (especially when another country has no law of trusts, or the law is different to New Zealand), whether anything received is beneficiary income or a taxable distribution from a foreign trust and when and how the ordering rules in s [HC 16](#) might mean they are treated as taxable distributions when they might not otherwise appear to be. It also considers the law of administration of deceased estates to help determine at what point a trust might arise to make distributions taxable. [IS 25/18](#) contains the following summary:

“2. New Zealand tax residents who are not transitional residents are generally liable to pay income tax on income they derive from sources in New Zealand and worldwide. Their assessable income includes money or property someone offshore transfers to them as “beneficiary income” or a “taxable distribution from a foreign trust”.

3. The concepts of beneficiary income and taxable distributions require that the money or property comes from a “trust” as that term is interpreted under New Zealand tax law. When determining the application of New Zealand tax legislation to an arrangement to which the laws of a foreign jurisdiction apply, the Commissioner considers that a twostep approach is required:

- The first step is to determine the legal rights and obligations that exist between the parties. The contractual arrangements and foreign law are used to determine those legal rights and obligations.
- The second step is to consider the application of the New Zealand law contained in the Act to those legal rights and obligations. The foreign law is irrelevant at this stage.

4. It follows that the person transferring the money or property must have held it according to arrangements where the essential features of a trust under New Zealand law are present. This means the person must have held the money or property as trust property with an equitable obligation to deal with it for the benefit of a person or charitable object.

5. Whether such an obligation exists depends on whether the circumstances give rise to something that would be within the concept of a trust if the issue were to be decided under New Zealand law. No matter where in the world property is situated, if the legal basis on which it is owned or controlled and the surrounding circumstances involve obligations that New Zealand law would recognise as trust obligations, then a trust exists. The trust exists whether or not the law of another country would recognise the situation as a trust and whether or not the trust law of another country is the same as trust law here.

6. Where a trust exists (unless it is a “bare trust” – see [138]), a distribution from it will be beneficiary income if it:

- is current-year income that trustees derive but that vests absolutely in interest in a beneficiary in the income year; or
- is paid to a beneficiary in the income year (or within the extended time period provided by s [HC 6\(1B\)](#)).

7. For an amount that is not beneficiary income to be a “taxable distribution from a foreign trust”, the trust must have had no New Zealand tax resident settlor. In addition, the transfer must amount to a “taxable distribution”.

8. A transfer of money or property to a New Zealand resident taxpayer as a beneficiary of a foreign trust is a taxable distribution if it is not excluded by s [HC 15\(4\)](#) (eg, beneficiary income, certain capital gains and corpus). However, the ordering rules in s [HC 16](#) (see from [84]) may apply and may override what would normally be the character of the components of the distribution based on the terms of the trust deed or the trustee’s description of the distribution. Applying the ordering rules requires the trust to keep good financial records. The onus is on the beneficiary to obtain

that information; otherwise, the entire amount they receive will generally be treated as taxable distribution.

9. An important exception to the requirement to apply the ordering rules is for distributions from non-discretionary trusts created by will or arising after intestacy (see [90]).

10. A New Zealand tax resident pays tax on beneficiary income and taxable distributions from a foreign trust at their marginal tax rate. Beneficiary income that a minor or a close company derives is excluded income and taxed to the trustee at 39%.

11. If a bare trust exists instead of a foreign trust, a New Zealand tax resident may have income from property they hold overseas. Such income may include interest, dividends, financial arrangement income, foreign investment fund (FIF) income, controlled foreign company (CFC) income and rental income.

12. Where the money or property transferred to a New Zealand tax resident is an inheritance, it may be subject to tax if a foreign trust arises following administration of the deceased's estate. This is unlikely to be the case (although it is possible) where the deceased was a tax resident in a country that does not have the concept of a trust as part of its law. Where an inheritance does not come from a trust because the law in the country concerned provides for immediate succession to the heirs on the person's death, the New Zealand resident taxpayer may need to account for income in New Zealand that they derive from the property inherited as described at [11].

13. To administer an estate in a country with a legal system like that in New Zealand, personal representatives identify the property available for distribution, pay expenses owed by the deceased and then either transfer the property to beneficiaries or vest it in someone acting in the capacity of trustee. Until they have assented to such transfers or vesting, the personal representatives have the legal and beneficial interests in the property which comprises the estate and no trust arises.

14. Where personal representatives are also trustees of a testamentary trust, the residue (or part of it) will vest in those representatives following assent and they will hold it on trust and in their capacity as trustees. Where separate trustees are named, the equitable interest in the property vests following assent but personal representatives must do what is necessary to transfer legal title to the trustees.

15. A bare trust may mark the interval between assent and the time when any beneficiary under the will takes legal title. Where a trust following assent is a bare trust, there is effectively no trust for tax purposes. As described at [11], a New Zealand tax resident may need to account for income they have derived from the property overseas.

16. In contrast, testamentary trusts can take the form of express trusts, life interests and minority interests (see [121]). They will not be bare trusts.

17. Like other foreign trusts outside the context of deceased estates, when a foreign trust arises from a deceased estate offshore, amounts distributed to beneficiaries in New Zealand may be beneficiary income or taxable distributions. Any foreign-sourced amounts that an individual derives will not be "reportable income". This means the amounts will not have been pre-populated in the individual's return. Unless the total of income other than reportable income is under \$200 or the income is beneficiary income of a minor or close company taxable to the trustee, the individual will need to include it separately as "other income" in their tax return. Tax is payable at marginal tax rates."

Law: IT07 ss [CV 13](#), [CW 53](#), [CX 59](#), [HC 4](#), [HC 14](#), [HC 15](#), [HC 18–HC 20](#), [HC 22](#), [HC 34](#), [IA 3\(3\)](#)

Last reviewed on 31 December 2025

Ordering rules for distributions from trusts [¶25-370]

[¶25-370]

[Click to open document in a browser](#)

Rules, commonly referred to as the ordering rules, apply for determining the source of a trust distribution. These rules prevent the trustee of a foreign or non-complying trust making tax-free distributions ahead of, or instead of, taxable distributions (s [HC 16](#)).

Any distribution subject to the ordering rules that is made to a beneficiary of a foreign trust or a non-complying trust is deemed to consist of the following amounts in the following order:

- # with effect from 23 March 2020, prior-year beneficiary income of the beneficiary derived by the trustee
- # current-year income derived by the trustee
- # to the extent the distribution exceeds current-year income, income derived in previous income years
- # to the extent the distribution exceeds previous years' income, current-year capital profits or gains derived by the trustees that is not income under s [HC 15\(5B\)](#) (being certain gains derived from an associated person)
- # to the extent the distribution exceeds current-year capital profits or gains, capital profits and gains derived in previous income years, and
- # to the extent the distribution exceeds previous years' capital profits or gains, the corpus of the trust.

See Example 25 in [IS 24/01](#), "Taxation of trusts" to demonstrate the application of the ordering rules.

Where the records maintained in relation to a trust do not permit the ordering rules to be applied accurately to determine the constituent elements of a distribution, the distribution is treated as a taxable distribution. Taxable distributions from foreign trusts are taxed at the beneficiary's marginal rate of tax. Taxable distributions from non-complying trusts are taxed at the penal rate of 45% ([¶25-500](#)).

Exceptions to the ordering rules

The ordering rules do not apply to the following distributions:

- # distributions from complying trusts (this is unless there has been an election under s [HZ 2](#) to pay tax on trustee income. Section [HZ 2](#) elections are those made on or before 31 May 1989 by trusts first settled before 18 December 1987), this also includes distribution from dual status trusts, or
- # distributions from trusts created by will, codicil, or on intestacy, or from trusts on which no settlement was made after 17 December 1987, where the trustee has no discretion as to the source, nature and amount of distributions to beneficiaries, or
- # distributions from foreign trusts which become complying trusts by election under s [HC 30](#), or
- # distributions from a non-complying or foreign trust that comprises the disposal of property or the provision services to a beneficiary at less than market value is a taxable distribution but is not subject to the ordering rules, or
- # with effect from 23 March 2020, the provision of financial assistance to a beneficiary is also a taxable distribution not subject to the ordering rules. For these purposes, financial assistance means assistance that produces a financial benefit for which the recipient provides less than market value. Assistance will be treated as provided for less than market value if it is provided at below-market rates or an amount payable for the assistance is payable on demand and the right to demand is not exercised or is deferred (s [HC 31B](#)).

When determining the constituent elements of a distribution to a beneficiary (beneficiary A), distributions to any other beneficiary (beneficiary B) are treated as not having been made if the effect is that any part of the distribution to beneficiary A is not treated as a taxable distribution or, from 23 March 2020, beneficiary income. This anti-avoidance rule will not apply if it can be shown that amounts distributed to beneficiary B arose from a genuine transaction, the transaction is not itself a settlement and, for income

years commencing on or before 23 March 2020, it places the whole amount beyond the trustee's possession and control (s [HC 16\(5\)](#)).

[IS 19/04](#), "Income tax — distributions from foreign trusts", discusses how the ordering rules in s [HC 16](#) can mean amounts are treated as taxable distributions when they may not otherwise appear to be ([¶25-360](#)).

Law: IT07 ss [HC 15\(6\)](#), [\(7\)](#), [HC 16](#), [HC 31B](#)

Last reviewed on 31 December 2025

Overview of trust residency principle [¶25-400]

[¶25-400]

[Click to open document in a browser](#)

Trusts are not treated as separate entities for tax purposes. Consequently, there is no universal test or residence for trusts (other than unit trusts that are treated as companies for tax purposes). However, the residence of the persons connected with the trust (the settlor, trustee and beneficiary) determines the tax treatment of trust income.

The following table from interpretation statement, [IS 25/16](#), “Tax residence” at 104 demonstrates how trust income is taxed, depending on whether it is beneficiary income or trustee income, and on the residence of the persons connect with the trust:

Table | T#tohi 1 - How beneficiary income and trustee income are taxed

Beneficiary income	
Beneficiary tax resident in New Zealand # All beneficiary income is included as assessable income except minor and close, company beneficiary income. # Transitional residents do not include most foreign-sourced amounts.	Beneficiary not tax resident in New Zealand # Only New Zealand-sourced beneficiary income is included as assessable income.
Notes: # Beneficiaries who ceased to be tax resident in New Zealand and become tax resident again within 5 years must include beneficiary income and taxable distributions received from foreign and non-complying trusts while non-resident. # Trustees are generally liable as agent for the income tax liability of a beneficiary for their beneficiary income and any taxable distributions they derive.	
Trustee income	
New Zealand-sourced income is included in assessable income whether or not the trustee is tax resident in New Zealand. If a non-resident trustee has only non-resident withholding income and it has been taxed correctly, the tax withheld is a final tax.	
Note: Trustee income also includes minor beneficiary income, close company beneficiary income and certain property settlements.	
Foreign-sourced income is included in assessable income if: # the trustee was not tax resident when the income was derived, and # a settlor of the trust was tax resident (and not a transitional resident) in New Zealand at any point during the income year. In general, this rule does not apply if: # no settlement has been made on the trust after 17 December 1987; or # a settlement has been made but the settlor was non-resident between 17 December 1987 and the date of the settlement.	Foreign-sourced income is exempt if: # the trustee was tax resident when the income was derived; and # no settlor of the trust was tax resident (and not a transitional resident) in New Zealand at any point during the income year: provided that # if no settlor exists in the income year, the last surviving settlor was not a tax resident at the time of ceasing to exist; # the trust was not at any time in the income year a superannuation fund or a testamentary or <i>inter vivos</i> trust of which any settlor was tax resident in New Zealand when they died;

	# no s HC 33 election has been made; and # the registration and reporting obligations for foreign exemption trusts have been met.
--	---

Last reviewed on 31 December 2025

Migration of settlors from New Zealand [¶25-410]

[¶25-410]

[Click to open document in a browser](#)

The policy behind the taxation of trusts in New Zealand is that the residence of a trustee does not determine tax liability. Instead, the liability for taxation turns in most part on the residence of the settlor (as the trust's economic agent) or the beneficiary in receipt of beneficiary income. For this reason, it is extremely important to ensure that the significance of any settlor migrating from New Zealand is noted. However, the legislation does not differentiate between single and joint settlors. This means that where there is more than one settlor the consequences of the settlors' migration only apply when all the settlors have migrated.

Complying trust becoming non-complying trust

A complying trust may become a non-complying trust if no settlor is a New Zealand resident who is not a transitional resident (eg where the sole settlor of the trust emigrates from New Zealand or is a transitional resident) and the trust has foreign-sourced income. When a complying trust ceases to have a New Zealand resident settlor, the trustees of the trust (whether tax resident in New Zealand or not) may no longer be liable for tax on their foreign-sourced income ([¶25-100](#)). Where s [CW 54](#) or [HC 26](#) has applied to exempt foreign-sourced amounts from the income of the trustees of a complying trust, the trust ceases to be a complying trust and becomes a non-complying trust ([¶25-310](#)).

A complying trust may also become a non-complying trust where ([¶25-330](#)):

- # the trustee of the trust is or becomes non-resident and derives trustee income that is only non-resident passive income, eg dividend or interest income from New Zealand, or
- # the trustee fails to meet a tax obligation.

If complying trust status is lost, the trust becomes a non-complying trust subject to the ordering rules and distributions may be taxable distributions that are taxed at the rate of 45% (s [HC 16](#)).

Election to remain a complying trust

In order to avoid the consequences of a trust ceasing to be a complying trust in the above circumstances, a settlor, trustee or beneficiary of the trust can make an election under s [HC 33](#) to satisfy the income tax liability of the trustee. See [¶25-530](#) for detailed discussion on the election mechanism.

Law: IT07 ss [BD 1\(3\)](#), [\(4\)](#), [\(5\)](#), [CW 54](#), [HC 16](#), [HC 25](#), [HC 26](#), [HC 28](#), [HC 33](#)

Last reviewed on 31 December 2025

Migration of settlors to New Zealand [¶25-420]

[¶25-420]

[Click to open document in a browser](#)

Note: The Taxation (Annual Rates for 2025–26, Compliance Simplification, and Remedial Measures) Bill proposes a new s [YD 1\(3\)](#), which would ensure that the presence of a non-resident visitor in New Zealand who is a settlor, trustee or beneficiary of a trust should not result in any change to the tax treatment of the trust or its income. This would be effected by deeming the non-resident visitor to be non-resident during their qualifying stay in New Zealand.

Foreign trust can become complying trust by election

A right of election exists where on a day (the transition date) a natural person settlor who is not a transitional resident becomes a New Zealand resident or a settlor ceases to be a transitional resident and continues to be a New Zealand resident, and where the trust would have been a foreign trust had a distribution been made on the day immediately preceding the day that the settlor became a resident.

Any settlor, trustee or beneficiary of the trust may, by the first anniversary of the transition date (the election expiry date), elect to satisfy the income tax liability in respect of the taxable income of the trustees of the trust under s [HC 33](#) ([¶25-530](#)). This enables the trust to become a complying trust. The election is made on form [IR463](#). For the purposes of this election rule, the transition date is defined as the day a natural person (s [HC 30\(1\)\(a\)](#)):

- # becomes resident in New Zealand and is not a transitional resident, or
- # stops being a transitional resident and continues to be a New Zealand resident.

From 23 March 2020, amendments clarify the point in time from which a trust will be a complying trust if an election has been made to pay New Zealand tax on worldwide trustee income. The main clarification is that a trust will be a complying trust for a distribution of trustee income earned after the application date of the election. A trust may elect to alter its state from a foreign or a non-complying trust to become a complying trust, but only from the date from which the election applies.

Distributions from trust

If such an election is made, for the purposes of the definition of a “taxable distribution” ([¶25-360](#)) that trust is treated as:

- # a foreign trust to the extent to which the distribution consists of an amount derived by the trustee before the date of the election and which does not give rise after the transition date to an income tax liability that is paid before the distribution is made
- # a complying trust to the extent to which the distribution consists of an amount derived by the trustee —
 - # before the date of the election and gives rise on or after the transition date to an income tax liability that is paid before the distribution is made, or
 - # on or after the date of the election, if the requirements of s [HC 10\(1\)\(a\)](#) are met for the trustee income derived on or after the date of the election (ie no non-resident passive income, non-residents’ foreign-sourced income or exempt income under s [CW 54](#) is derived as trustee income and the trustee’s income tax obligations are satisfied)
- # a non-complying trust to the extent to which the distribution consists of an amount that would not be included in a distribution described in the previous bullet points.

If no election is made, for the purposes of the “taxable distribution” definition, the trust is treated as:

- # a foreign trust to the extent that the distribution consists of an amount derived by the trustee before the election expiry date and does not give rise on or after the transition date to an income tax liability

- # a non-complying trust to the extent that the distribution consists of an amount derived by the trustee
—
- # before the election expiry date and gives rise on or after the transition date to an income tax liability,
or
- # on or after the election expiry date.

Where a settlor of a trust has migrated to New Zealand, a trustee of the trust may distribute accumulated trustee income to a beneficiary as exempt income.

The amendments apply for a trust of which a settlor has migrated to New Zealand and:

- # has not made an election to pay tax on worldwide trustee income within the prescribed period, but
- # has taken steps under the voluntary disclosure rules or the voluntary election rules under s [HC 33](#) ([125-530](#)) to pay tax on worldwide trustee income for past years after the prescribed period has ended.

The amendments apply for:

- # a voluntary disclosure made before, on or after 23 March 2020, and
- # an election made under s [HC 33](#) on or after 23 March 2020.

Law: IT07 ss [HC 10\(2\)](#), [HC 30](#)

Last reviewed on 31 December 2025

Migration of trustees [¶25-430]

[¶25-430]

[Click to open document in a browser](#)

Although the residence of trustees does not determine tax liability in New Zealand, it is important to appreciate that it is more common for trusts to be taxed by reference to the residence of trustees. Accordingly, the emigration of a single trustee can have tax consequences for a trust if the trustee moves to a jurisdiction where a trust is taxed based on the trustee's residence.

This can be the case regardless of the fact that the trust's settlor remains in the jurisdiction where the trust was settled or if other trustees do not migrate.

The different tests of residence are of particular relevance to New Zealand residents due to the relative ease with which New Zealanders migrate to Australia, which like most international jurisdictions taxes trusts in terms of residence or control. For Australian tax purposes, a trust can be regarded as resident in Australia for tax purposes if a single trustee is resident at any time during an income year or if the central management and control of the trust was in Australia at any time during an income year (s 95(2) of the Income Tax Assessment Act 1936) ([¶25-440](#)).

Law: IT07 ss [HC 10](#), [HC 11](#)

Last reviewed on 31 December 2025

Migration of beneficiaries [¶25-440]

[¶25-440]

[Click to open document in a browser](#)

A New Zealand resident beneficiary is taxed on all beneficiary income and taxable distributions whether comprised of amounts derived from New Zealand or from offshore.

A non-resident beneficiary is only taxed on beneficiary income and taxable distributions comprising amounts derived from New Zealand ([¶25-230](#)). See further at [IS 25/16](#), “Tax residence” at 114 and 119.

Where a beneficiary moves to another jurisdiction, consideration must also be given as to how that beneficiary might be taxed with respect to a New Zealand trust, which will be a non-resident trust in another jurisdiction. With respect to Australia, see *Practical Compliance Guideline* PCG 2024/3 s 99B of the Income Tax Assessment Act 1936 — ATO compliance approach, which considers how property of a non-resident trust (or trust property accumulated while the trust was a non-resident) is paid to or applied for the benefit of a resident beneficiary.

Note that there is an anti-avoidance provision under s [HC 23](#) to prevent beneficiaries from changing residence within a short time period to defeat the trust rules by changing residence ([¶25-215](#)).

Law: IT07 s [HC 23](#)

Last reviewed on 31 December 2025

Valuation of existing trust [¶25-450]

[¶25-450]

[Click to open document in a browser](#)

Where a trust that was not previously liable to New Zealand income tax on trustee income becomes liable, the cost for tax purposes of items such as premises, plant, machinery, equipment and trading stock is deemed (at the option of the person who is liable to pay the tax) to be either:

- # the historical cost of the asset, less accumulated depreciation, or some other value used in any foreign country in which the trustee income has been liable to tax (but not exceeding market value at that date), or
- # the value that would apply had the trustee income been assessable income (other than only as non-resident passive income).

The acquisition price for any financial arrangement is at the option of the person, either:

- # market value of the financial arrangement at that date, or
- # consideration paid to the person + expenditure # consideration paid by the person # income.

Any existing trust will enter into the tax base when a non-resident settlor becomes resident in New Zealand.

Law: IT07 s [HC 31](#)

Last reviewed on 31 December 2025

Tax rates for trusts [¶25-500]

[¶25-500]

[Click to open document in a browser](#)

Trustee income

From 1 April 2024, trustees are taxed at the flat rate of 39% on trustee income, except de minis trusts, disabled beneficiary trusts, deceased estate referred to in s [HC 8B](#) and lines trusts which continue to be taxed at 33% ([¶25-080](#)). The rates are prescribed by [Sch 1 pt A cls 3](#) and [6B](#) of the IT07. The same rate applies whether the trustee is a trustee of a complying trust, foreign trust or non-complying trust.

Beneficiary income

A beneficiary is liable to tax on “beneficiary income” ([¶25-200](#)) at the beneficiary’s marginal rate of tax ([Sch 1 pt A cl 1](#)). The same treatment applies whether the beneficiary is a beneficiary of a complying trust, foreign trust or non-complying trust.

Taxation of distributions and taxable distributions

“Taxable distributions” ([¶25-360](#)) received by beneficiaries of foreign trusts are also taxed at the beneficiary’s marginal rate of tax. Taxable distributions from a non-complying trust are not included in a beneficiary’s income but are taxed to the beneficiary at the penal rate of 45% ([Sch 1 pt A cl 4](#)). For beneficiaries of complying trusts, only distributions of beneficiary income are taxable ([¶25-275](#) and [¶25-360](#)).

The tax treatment of trustee income, beneficiary income and taxable distributions may be illustrated by the following table.

Summary

Distribution	Complying trust	Foreign trust	Non-complying trust
Pre-1/4/88 accumulated funds	Exempt income	Exempt income	Exempt income
Corpus	Exempt income	Exempt income	Exempt income
Arm’s length capital profits	Exempt income	Exempt income	Taxed 45%
Non-arm’s length capital profits	Exempt income	Taxed at beneficiary’s marginal tax rate	Taxed at 45%
Post-1/4/88 accumulated funds	Exempt income	Taxed at beneficiary’s marginal tax rate	Taxed at 45%
Trustee income*	Taxed at 39%. Trustee liable as beneficiary’s agent.	Trustee income derived from New Zealand taxed at 39%. Liable as beneficiary’s agent.	Trustee income derived from New Zealand taxed at 39%. Liable as beneficiary’s agent.
Beneficiary income	Taxed at beneficiary’s marginal tax rate in all cases except for beneficiary income derived by minor beneficiaries or close company beneficiaries in certain circumstances.		

* some exceptions apply (de minis trusts, disabled beneficiary trusts, deceased estate referred to in s [HC 8B](#) and lines trusts continue to be taxed at 33%)

Law: IT07 Sch [1](#) pt [A](#) cls [3](#), [4](#), [6B](#)

Last reviewed on 31 December 2025

Trustee's return of income [¶25-510]

[¶25-510]

[Click to open document in a browser](#)

A trustee of a trust that derives assessable income is required to furnish an [IR6](#) return of income showing all income derived in the capacity of trustee, whether beneficiary income or trustee income. Any amount derived by a trustee in an income year that is also beneficiary income is treated as being derived by the beneficiary in the income year that corresponds to the trustee's income year.

When 2 or more persons act as co-trustees, one return is filed jointly. Only income derived by the trust must be returned; non-trust income derived by a trustee in a personal capacity is taxed separately. However, the trustee is liable to tax on all trust income as if the trustee was beneficially entitled to that income.

In the trustee's tax return, the trustee will calculate the tax on the beneficiaries' income and pay the tax on that income as agent of the beneficiary. The net income is then paid to the beneficiary.

From the 2021–22 income year onwards, unless an exemption applies, trustees of domestic trusts are also required to provide information on the financial position of the trust as part of the trustee's tax return. In addition, the Commissioner also has the power to request the information for certain prior years and to vary the information requirements for a trustee or class of trustees ([¶12-050](#) and [¶125-560](#)).

Note: The Taxation (Annual Rates for 2025–26, Compliance Simplification, and Remedial Measures) Bill proposes to repeal the specific provisions for trust disclosure in ss [59BA](#) and [59BAB](#) of the TAA with alternate measures to be introduced to collect trust information ([¶125-560](#)).

Filing exemption

Section [43B](#) of the TAA exempts inactive complying trusts and testamentary trusts (deceased estates that derive no income) from filing income tax returns ([¶12-027](#)).

Law: IT07 s [HC 6\(3\)](#); TAA ss [43B](#), [59BA](#), [59BAB](#)

Last reviewed on 31 December 2025

Beneficiary's return of income [¶25-520]

[¶25-520]

[Click to open document in a browser](#)

A beneficiary must include in the beneficiary's own return of income the beneficiary's share of any beneficiary income or taxable distribution. The beneficiary income must be included in the tax return for the same income year as the trust included the beneficiary income in its tax return. For example, beneficiary income paid after the end of the 2024–25 income year (to the extent that the income satisfies the definition of beneficiary income) must be included in the beneficiary's 2024–25 tax return ([¶25-200](#)).

A beneficiary may claim a credit for tax paid by the trustee as agent of the beneficiary. In some instances, IR will agree to the beneficiary returning the beneficiary's share of beneficiary income and paying the provisional and terminal tax thereon. IR agrees to direct assessment of the beneficiary (commonly referred to as having the income "transferred direct") when the beneficiary has suffered a loss in the beneficiary's own right, the beneficiary's income from sources other than the trust is insufficient to absorb the tax credit entitlement, and the beneficiary accepts the responsibility to pay provisional tax and furnish a return. Direct assessment of a beneficiary does not relieve the trustee of the responsibility to furnish a return of income for the trust's other income. Nor does it relieve the trustee of the liability to pay any tax owing should the beneficiary default.

Law: TAA s [33](#)

Last reviewed on 31 December 2025

Election to become complying trust [¶25-530]

[¶25-530]

[Click to open document in a browser](#)

Any trust can become a complying trust. Under s [HC 33](#), either a trustee, a settlor or a beneficiary may choose to satisfy the income tax liability of the trustee of the trust (and thereby satisfy the complying trust definition) by electing to do so. Whoever elects to satisfy the income tax liability is liable to pay the income tax payable by the trustee in that person's capacity as trustee (as if the trust had a New Zealand resident settlor and the trustee were a New Zealand resident) and not in the capacity as trustee as agent of a beneficiary.

The provision is currently unclear on exactly when an election applies, except for in 2 specific circumstances. The first is if the election is made under s [HC 33](#) as a result of the application of s [HC 30](#) (ie an election is made in relation to a foreign trust becoming a complying trust because a settlor becomes resident), in which case the election applies from the date on which it is made. The second is if the election is a notional election arising under s [HC 33\(1B\)](#) (see below).

Whoever makes the election must notify the Commissioner of it within the time allowed for filing a return of income for the income year. Although note that if an election is made under s [HC 33](#) because of the application of s [HC 30](#), notification must be given to the Commissioner by the election expiry date.

Deemed election to remain a complying trust

Complying trust status also arises in relation to a distribution when a trustee is treated as electing to satisfy the income tax liability of the trustee under s [HC 33\(1B\)](#). The requirements for this deemed election are:

- # complying trust status exists for the period beginning at the start of the income year in which a settlement is first made on the trust and ending before the date on which the trust ceases to be a complying trust under s [HC 10\(1\)\(a\)\(i\)](#) (because trustee income derived includes non-resident passive income, non-residents' foreign-sourced income or income that is exempt under s [CW 54](#)), and
- # the trust ceases to be a complying trust under s [HC 10\(1\)\(a\)](#), and
- # the trustee files returns on the basis that the trust is a complying trust for each income year after complying trust status is lost.

There is no requirement for any notice to be given to the Commissioner.

In this case, the deemed election applies on and after the start of the income year in which the trust ceases to be a complying trust. The deemed election is effective until the beginning of an income year for which a trustee does not (s [HC 33\(3B\)](#)):

- # meet their tax obligations relating to their income tax liability for the income year, or
- # notify the Commissioner that the trust is a complying trust for the income year.

For a discussion of the rules relating to non-complying trusts becoming complying trusts, see Case Y25 (2008) 23 NZTC 13,270. In Case Y25 it was held that the trust was not a qualifying (complying) trust because not all of the trustee income had been subject to New Zealand tax.

For the year in which the trust ceases to be a complying trust (the non-complying year) (s [HC 33\(1B\)](#)), the trustee must meet the tax obligations of the trust and notify the Commissioner that the trust is a complying trust for that year—

- # for a trustee that is required to file a return, in the return of income and by the due date for the return, or
- # for a trustee that is not required to file a return, by the due date for a return required by s [59D](#) of the TAA by a resident foreign trustee for the non-complying year.

If an election is made for a trust to pay tax on its worldwide trustee income, the trust must determine its tax obligations as if it has both a New Zealand resident trustee and a New Zealand resident settlor. The person making the election must then satisfy the tax obligations of the trustee on that basis.

The date an election applies in situations other than when an election is made under s [HC 33](#) as a result of the application of s [HC 30](#) has also been clarified. In the case of a deemed election under s [HC 33\(1B\)](#), the election applies on and after the beginning of the non-complying year. In all other cases, the election applies on and after whichever date (the effective date) the person making the election chooses of—

- # the date of the election (the electing date)
- # the beginning of the income year (the electing year) that includes the electing date, or
- # the beginning of an income year that is 4 years or less before the beginning of the electing year.

Thus, a person is able to make a retrospective election for up to 4 years before the electing date. If the trustee of a trust is required to file a return of income, the person making the election for the trust must notify the Commissioner of the election and provide the Commissioner with the information required by s [113F](#) of the TAA. Section [113F](#) applies if the person making the election chooses to make it retrospective. In that case, the person must provide the Commissioner with any information required in relation to the income years to which the election applies that end before the electing year.

An election under s [HC 33\(1B\)](#) is effective until the beginning of an income year for which the trustee does not meet its tax obligations or does not notify the Commissioner the trust is a complying trust in the same manner as set out above for a non-complying year.

The tax treatment of a distribution of tax-paid trustee income or a capital gain from a trust that has elected to become a complying trust, other than when an election is made under s [HC 33](#) as a result of the application of s [HC 30](#) is as follows:

- # A distribution made before the beginning of the electing year has the taxation consequences that it would have in the absence of the election.
- # A distribution made after the beginning of the electing year from an amount derived by the trustee before the effective date is treated as being a distribution by a trust having the status of foreign trust, non-complying trust or complying trust that the trust had when the amount is derived.
- # A distribution made after the beginning of the electing year from an amount derived on or after the effective date is treated as being made by the trustee as trustee of —
- # a complying trust, if the requirements under s [HC 10\(1\)\(ab\)](#) are met (ie an election made under s [HC 33](#) and the trustee's tax obligations are satisfied for each tax year) for trustee income derived on or after the effective date, or
- # a non-complying trust, in all other cases.

For the purposes of the first 2 bullet points above, the amount derived before the effective date by the trustee in an income year that includes, but does not begin with, the effective date is:

- # a proportion of the amount derived in the income year equal to the proportion of the days in the income year that are before the effective date, or
- # if the person does not choose to use the proportion approach, the amount derived before the effective date in the income year.

The effect of s [HC 33\(1B\)](#) is to ensure that distributions from tax-paid trustee income are treated as being made from a complying trust only if the distribution is made from trustee income derived after the date from which the election applies. The ordering rules in s [HC 16](#) are applied to determine the composition of a distribution. See [IS 24/01](#), "Taxation of trusts", February 2024 at 115 for a worked example of an election where the trustee's obligations were satisfied. Note that if a person makes a retrospective election for a trust and the election results in an increase in the assessed income tax liability of the trustee or RWT payable by the trustee for an income year before the electing year, the person and the trustee are not liable for a penalty under the TAA. This does not apply if the Commissioner does not accept that the trustee's tax position for each income year beginning on or after the effective date and before the electing year is none of:

- # an unacceptable tax position under s [141B](#)

an abusive tax position under s [141D](#), or

a tax position that causes the trustee to be liable to pay a shortfall penalty for evasion or a similar act under s [141E](#).

Law: IT07 ss [HC 10\(1\)](#), [HC 16](#), [HC 33](#)

Last reviewed on 31 December 2025

Disclosure of trust particulars [¶25-540]

[¶25-540]

[Click to open document in a browser](#)

Settlors of certain trusts where there is no resident trustee, and a settlement is made after 17 December 1987, must disclose the existence of the trust and details of its trustees and beneficiaries to the Commissioner.

Disclosure is required when:

- # a settlor is resident and there is no resident trustee at the time of settlement — the settlor must make a disclosure within 3 months of the date of settlement
- # a settlor is resident and any time after settlement of a trust there is no resident trustee — the settlor must make disclosure within 3 months of the date on which the trust ceased to have a resident trustee, and
- # a person who is a New Zealand resident makes a settlement on a trust as nominee for another person and there is no resident trustee at settlement — the disclosure must be made within 3 months of date of settlement.

Disclosure is made on form [IR462](#), “Settlors of trusts disclosure”.

In *Tax Information Bulletin* [¶74-107 Vol 7, No 4](#), October 1995 at 10, the Commissioner specified that the following information must be provided in such disclosure required under s [59](#) of the TAA:

- # details of the settlement, including the date of the original settlement and dates of any subsequent settlements
- # the market value of the property transferred
- # any consideration received by the settlor for the property
- # the trustees’ and beneficiaries’ names and addresses
- # a copy of the trust deed
- # the names and addresses of the persons for whom the nominee is acting (if a nominee is required to make a disclosure), and
- # any other information that the Commissioner may require.

If the property settled includes land, the Commissioner requires the legal description and location of the property. If the property includes shares, then details of the number, type, name of the company and the country of incorporation are required. If the property includes financial arrangements, details of the parties to the financial arrangement, interest rate and term must be supplied. If the property includes services, the nature of the service and the consideration paid must also be disclosed. The disclosure requirements do not apply to trusts that are superannuation funds.

Failure to disclose trust details as required may result in the Commissioner determining the amount of trustee income for an income year (s [93B](#)). For disclosure requirements for foreign trusts, see [¶25-550](#).

Non-disclosure — penalties and other consequences

Section [143A](#) imposes a penalty on all persons, including settlors and trustees, who knowingly do not provide information about a trust or keep proper records. A person who aids, abets or incites either of these offences is liable to the same penalty ([¶14-250](#) and [¶14-285](#)).

In respect of settlors, the penalties for non-disclosure or knowingly giving false information can subject the settlor to a fine of up to \$50,000. Also, if disclosure is not made, the Commissioner may determine the amount of trustee income derived by the trust ([¶25-100](#)). Consequently, a great deal of care is required as the definition of “settlor” is extremely wide ([¶25-030](#)).

Law: TAA ss [59](#), [93B](#), [143A](#)

Disclosure by foreign exemption trusts [¶25-550]

[¶25-550]

[Click to open document in a browser](#)

New Zealand's foreign trust disclosure rules were further strengthened by the [Taxation \(Annual Rates for 2022-23, Platform Economy, and Remedial Matters\) Act 2023](#), which introduced the term "foreign exemption trusts", which means a trust with a resident trustee whether no election has been made and the trust has or does make use of the foreign-sourced income exemption in s [HC 26](#).

If an effective election has been made under s [HC 33](#), and the trustee is taxed on the trust's worldwide income, and the trust is subject to domestic trust reporting, then the foreign trust disclosure rules do not apply. A foreign exemption trust must register with IR (TAA, s [59B\(2\)](#)).

Importantly, the definition of "foreign exemption trust" applies for the purposes of the foreign trust disclosure rules while the definition of "foreign trust" applies for determining the income tax treatment of distributions. [IS 24/01](#) explains the parameters of the definition of "foreign exemption trusts" including the reporting obligations at [13.10] to [13.27].

Disclosure requirements will apply in relation to certain foreign trusts that are also complying trusts — see discussion on dual status trusts at [¶25-300](#).

Registration

The IR forms for registration of a foreign trust are: [IR607](#) Foreign trust registration form (February 2023), [IR607A](#) Foreign trust connected person schedule (February 2023), and [IR900A](#) Foreign trust settlements and distributions schedule (February 2023).

Fees

The prescribed fee for an application for registration of a foreign trust is \$270 (incl GST). The fee for an annual return is \$50 (incl GST). Provision is made for regulations to be made to change the fees. An exemption from the fee is allowed if all the resident foreign trustees of the foreign trust are natural persons not in the business of providing trustee services.

Loss of tax exemption

A foreign trust with a resident foreign trustee loses its tax exemption for foreign-sourced amounts unless the trustee has registered the trust and fulfilled the associated disclosure obligations at the time the foreign-sourced amount is derived. An appropriate transitional period was provided for existing foreign trusts to register following enactment of the new rules without running the risk of losing the exemption ([¶25-100](#)).

The eligibility for an exemption on foreign-sourced income of the trust is assessed on a year-by-year basis. Accordingly, a foreign trust that fails to register on time will lose its exemption for that year. However, if it later registers and fulfils its annual reporting obligations it will be able to get the exemption for those years.

Law: TAA ss [3\(1\)](#) ("resident foreign trustee"), [18H](#), [59B](#), [59C](#), [59D](#), [59DB](#), [59E](#), Sch [7](#) cl [28](#)

Last reviewed on 31 December 2025

Reporting requirements for domestic trusts [¶25-560]

[¶25-560]

[Click to open document in a browser](#)

The Commissioner issued an operational statement on reporting requirements for domestic trusts on 6 April 2022. This operational statement [OS 22/02](#) sets out the Commissioner's approach to applying the trust information gathering powers contained in ss [59BA](#) and [59BAB](#) of the TAA. The statement applies from 6 April 2022.

Note: The Taxation (Annual Rates for 2025–26, Compliance Simplification, and Remedial Measures) Bill proposes to repeal the specific provisions for trust disclosure in ss [59BA](#) and [59BAB](#) of the TAA as these are not necessary for the Commissioner to collect information from trustees under ss [33](#) and [35](#) of the TAA.

Overview

The trust information gathering powers in s [59BA](#), by way of annual return for trusts, were introduced with effect for the 2021-22 and later income years. The retrospective trust information gathering power in s [59BAB](#) was introduced with effect from 7 December 2020. The retrospective information gathering powers were introduced for periods beginning after the end of the 2013-2014 income year.

The purpose of the information gathering is to gain insight into the use of trusts for individuals who are, or would have been, on the top margin tax rate of 39%.

Application

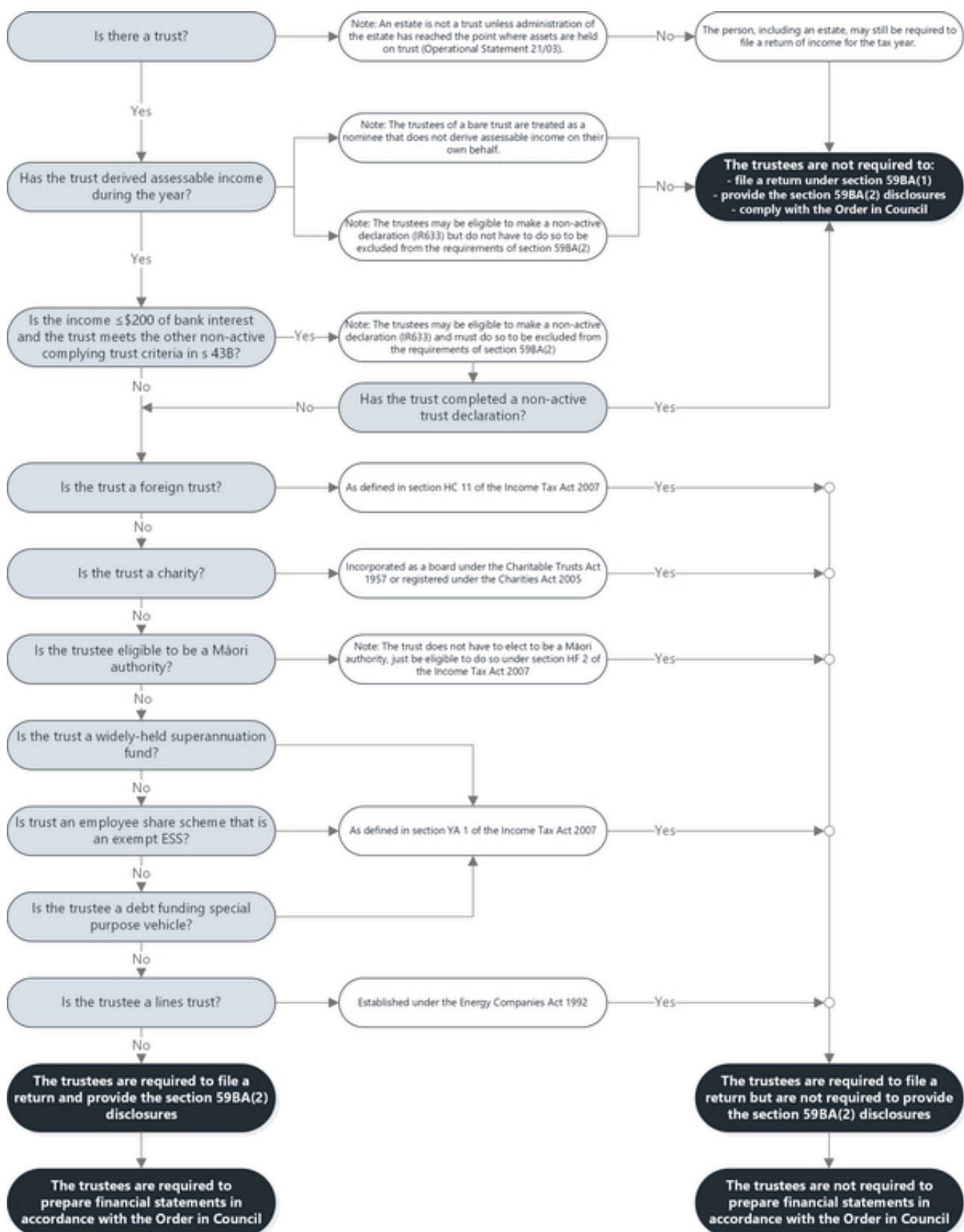
Trustees who derive assessable income are currently obliged to file a tax return in the form prescribed by the Commissioner, unless the trust is an excluded trust (see below). Trustees must file a return for all income derived in the corresponding income year.

Trustees who derive assessable income are obliged to prepare the financial statements required by Order in Council (see below), but may not necessarily be required to furnish these to the Commissioner. The obligation to maintain financial statements is a separate obligation (required by the OIC) to the obligation to provide further information.

The changes to the requirements for domestic trustees are:

- # Preparation of financial statements, and filing a statement of profit or loss, and statement of financial position
- # Disclosure of prior settlor details
- # Disclosure of appointee details
- # Disclosure of monetary and non-monetary settlements and distributions
- # Providing financial information, including financial information relating to non-business activity.

The operational statement contains a flowchart that sets out who is required to comply with s [59BA](#), and who is not:



(Flowchart reproduced from [OS 22/02](#), "Reporting requirements for domestic trusts", April 2022)

Excluded trusts

Some trusts are excluded from the requirement to file an annual return. These include:

- # Trustees of foreign trusts (they have their own requirements under s [59D](#))
- # Trustees of a non-active complying trust.

The trustees must complete an [IR633](#) Non-active trust declaration form. If at any time the trust no longer meets the requirements to be eligible for non-active status, the trustees must notify IR and furnish a return of income for the relevant income year.

Bare trust arrangements are circumstances where a trustee holds assets on trust for another without any other duties, other than to follow direction of the beneficiary. For reporting purposes, the bare trustee is not treated as deriving income on their own behalf but acts as a nominee for the beneficiary. Therefore, no obligation for the trustee to file an income tax return under s [59BA\(1\)](#), or to comply with the additional disclosure requirements of s [59BA\(2\)](#).

In March 2022, the [Tax Administration \(Financial Statements—Domestic Trusts\) Order 2022](#) added specific trusts, in addition to the types discussed above, excluded from the disclosure rules. They are:

- # trusts incorporated under the Charitable Trusts Act 1957
- # charitable trusts registered under the [Charities Act 2005](#)
- # trusts eligible to be Māori authorities
- # trusts that are widely-held superannuation funds
- # trusts that are exempt employee share schemes
- # trusts that are debt funding special purpose vehicles
- # lines trusts established under the Energy Companies Act 1992

Trustees to prepare financial statements

The [Tax Administration \(Financial Statements—Domestic Trusts\) Order 2022](#) prescribes the minimum standards for financial statements for domestic trusts. Section [59BA\(2\)\(a\)](#) requires that a trustee to provide a statement of profit or loss and a statement of financial position, including explanatory commentary (commonly referred to as financial statements). The financial statements do not need to be filed with the annual return but must be available if the Commissioner requests them at a later date.

The minimum standard for financial statements set by the Order in Council includes a requirement that trusts follow the principles of accrual accounting. In addition, trustees are required to disclose comparable figures for the previous income year.

The first year for which the financial statements are required to be prepared to the minimum standards is the 2021–22 income year. The Commissioner recognises that some trustees may not have previously prepared financial statements, or have prepared statements to a lower standard, therefore the requirement to disclose comparable figures relating to the 2021 income year is only required to the extent that the trustee has that information.

Core requirements for all trusts

The following minimum standard are set out in the Order in Council:

- # the financial statements must consist of a:
 - # statement of financial position, and
 - # statement of profit and loss
- # financial statements must be prepared using double-entry method of recording financial transactions
- # financial statements must use the prescribed valuation principles and disclose the valuation method adopted for land, buildings and shares or ownership interests
- # completion of an [IR10](#), where required.

In addition, unless a trust is a “simplified reporting trust”, the financial statements must include:

- # a statement of accounting policies
- # disclosure of the following specific items:
 - # a reconciliation between profit or loss in the statement of profit and loss to taxable income
 - # an appropriately detailed schedule of the trust’s fixed assets and depreciable property
 - # for trusts with forestry businesses – information about the cost of timber as at year end and a reconciliation of movements in the costs of timber during the income year
 - # if a trust is a specified livestock owner, details of livestock valuation methods, valuations and calculations for tax purposes
 - # details of transactions between the trust and any associated person of the trustee, unless the transaction is minor and incidental to the activities of the trust
 - # transaction details including the names of the associated persons, nature of the association, nature of the transactions and the amounts involved
 - # disclosure is not required if the transaction is at a market rate, or if disclosed separately elsewhere.

Most trustees that derive ‘business’ income will already be providing a completed [IR10](#) Financial statements summary ([IR10](#)) when they file their tax return. Going forward, to align the s [59BA\(2\)\(a\)](#) disclosure requirements and the existing [IR10](#) form, the [IR10](#) should reflect the trust’s total income, expenses and all assets, liabilities, and equity, not just the ‘business’ income, expenses, assets and liabilities. A trustee who does not derive ‘business’ income is not required to provide an [IR10](#).

Valuation

Assets and liabilities can be valued at market value, cost or tax adjusted value. The appropriate valuation method is chosen by the trustees. Tax value may only be used in relation to assets that produce assessable income.

***De minimus* threshold for small trusts (simplified reporting trusts)**

To reduce the compliance burden on small trusts, an exemption from using accrual accounting is available for trusts that:

- # derive assessable income of less than \$100,000, and
- # incur deductible expenditure, or loss, of less than \$100,000, and
- # hold total assets less than \$5 million at all times during the year to which the exemption applies.

The total assets threshold includes both private and income producing assets.

The assessable income and deductible expenditure thresholds do not include assessable income which arises under the bright-line test or related deductible expenditure ([17-050](#)).

The *de minimis* exemption does not exempt the trustees from preparing financial statements nor from their obligation to file a return and include the required information. The exemption modifies the reporting standard. The exemption:

- # permits small trusts to use cash-basis accounting, and
- # removes the requirement to include prior-year comparable figures in the financial statements.

In addition, simplified reporting trusts do not have to include:

- # a statement of accounting policies
- # a reconciliation of the profit and loss in the statement of profit and loss with the trustee’s taxable income for the income year
- # a schedule of the trust’s fixed assets and depreciable property

- # information about the cost of timber as at the end of the income year (or accounting period if permitted) or a reconciliation of movements in the cost of timber during the year, if the trustee derives income from forestry
- # details of livestock valuation methods, valuations and calculations for tax purposes, if the trust includes specified livestock
- # for each transaction in connection with the trust that is entered into between the trustee and any associated person, the name of the associated person, the nature of the association or the nature of the transaction including the amounts involved.

Further information required

Unless excluded, the following information must be returned to the Commissioner:

- # financial statements (discussed above)
- # the nature and amount of each settlement on the trust during the income year
- # settlor details which have not previously been reported to IR, including name, date of birth, tax jurisdiction, and taxpayer identification number
- # details of distributions made during the year, including the amount of the distribution and personal details of the beneficiary (name, date of birth, tax jurisdiction, and taxpayer identification number)
- # the details of each person having a power under the trust to appoint or dismiss a trustee, to add or remove a beneficiary, or to amend the trust deed (name, date of birth, tax jurisdiction, and taxpayer identification number of each person)
- # any other information the Commissioner may require.

For more detail on the above, see [OS 22/02](#) and the Order in Council.

Settlements

It is important to note that the amount of any settlement is determined in line with s [HC 4\(1B\)](#), and does not include the provision to the trustee, at less than market value, of minor services incidental to the activities of the trust. An additional item to note is when any beneficiary who is owed an amount by the trust that exceeds \$25,000 at the end of an income year, and the beneficiary is not paid interest at the prescribed or market rate, the beneficiary is deemed to be a settlor (ss [HC 27\(2\)\(bb\)](#) and [HC 27\(6\)](#)).

Law: TAA ss [59BA](#) and [59BAB](#)

Last reviewed on 31 December 2025

Trading trusts [¶25-600]

[¶25-600]

[Click to open document in a browser](#)

A trading trust may be used as an alternative to other business structures such as the traditional limited liability company. A trading trust is essentially a trust that carries on a business. A suitable deed for a trading trust will generally:

- # confer wide powers and discretions on trustees (eg the power to carry on a business, the power to hold non-diversified, high-risk investments, and wide borrowing and lending powers)
- # make provision for a corporate trustee (if required), and
- # contain an adequate indemnity for trustees.

If the trustee of a trading trust is a corporate trustee, there must be compliance with trust and tax law obligations together with company law obligations.

Tax rates

The trustee of a trading trust is taxed on the same basis as any other trustee ([¶25-100](#)). In broad terms, if the trust is a complying trust, income derived by the trustee in an income year that is distributed as beneficiary income is taxed at the beneficiaries' marginal rates of tax. Income that is not so distributed is taxed at the 39% trustee rate (except certain trusts are taxed at 33% ([¶25-080](#))). Capital gains may also be distributed to beneficiaries tax free. This may be contrasted with a company other than a qualifying company or an LTC, that can only distribute capital gains to shareholders tax free if it goes into liquidation.

There are obvious tax savings in distributing beneficiary income to beneficiaries who have a tax rate that is less than the trustee rate or a nil tax rate, eg a registered charity or a person with tax losses.

However, the opportunity to distribute income to beneficiaries with low marginal rates of tax is limited to a certain extent by the minor beneficiary rule ([¶25-275](#)). Further, beneficiary income distributed to certain close company beneficiaries may be treated as trustee income and taxed at 39% ([¶25-120](#)).

Fringe benefit tax

If benefits are provided to a beneficiary who is not an employee of the trust or a person associated with an employee, FBT should not apply because the beneficiary is not receiving the benefit as an employee. No deduction is available to the trust for any expenses incurred in providing the benefit.

If the beneficiary is also an employee of the trading trust, arguably no FBT liability arises in respect of benefits, provided the beneficiary–employee enjoys the benefit in their capacity as a beneficiary, not as an employee. The trustees should document the provision of the benefit clearly stating that the beneficiary–employee enjoys the benefit in their capacity as a beneficiary.

ACC levies

A trust must pay Accident Compensation Corporation (ACC) levies like any other employer. Accordingly, if the trust employs a beneficiary, ACC levies will be payable by the trust (and by the beneficiary–employee) in relation to liable earnings (eg salary and wages) paid to the beneficiary–employee. Distributions to beneficiaries in their capacity as such (not being earnings as employees) would not attract ACC levies. Distributions to beneficiaries in their capacity as beneficiaries should be recorded accurately in a trustees' resolution.

Losses

While the trustees of a trading trust can carry forward tax losses, the losses cannot be passed on to beneficiaries. In comparison, losses of an LTC can be allocated to the company's owners in proportion to each ownership interest (subpart [HB](#) and [¶19-155](#)).

Anti-avoidance

There is a possibility of the general anti-avoidance provisions in ss [BG 1](#) and [GA 1](#) applying to trading trusts where tax savings result. This possibility is substantially increased if an existing business is transferred to a trading trust, particularly if the business income is primarily generated by the personal exertion of the previous owner of the business. The possibility is lower if a new business is established or the business income is primarily generated by property rather than personal exertion. See Case V20 ([2002](#)) [20 NZTC 10,233](#) and Case W33 ([2004](#)) [21 NZTC 11,321](#).

Payment of a below market salary

Payment of a below market salary can amount to tax avoidance. Where this is because a company lacks funds to pay market rates, this will not necessarily amount to tax avoidance. See *White v C of IR* ([2010](#)) [24 NZTC 24,600](#). However, where salaries are fixed at an artificially low level, and there are sufficient funds to pay a higher salary, this can constitute tax avoidance in a trading trust structure. See the Supreme Court decision in *Penny and Hooper v C of IR* ([2011](#)) [25 NZTC ¶20-073](#); [\[2011\] NZSC 95](#). In this case, 2 orthopaedic surgeons practicing on their own account restructured their practice arrangements. Under the new arrangements, a company that was substantially owned by a family trust was set up to purchase each practice. Following the restructure each taxpayer was employed by the respective companies at a salary the Commissioner considered to be artificially low. The balance of the practice income in each case was treated as company income and paid by way of shareholder dividend to the family trusts.

In its decision the Supreme Court noted that there was no question of the taxpayers failing to comply with specific taxation provisions. The trading structure adopted by the taxpayers was a choice they were entitled to make. There was also nothing unusual or artificial in a taxpayer then causing the company under his control to employ him on a salaried basis. Despite this, the Supreme Court said that although compliance in other respects was accepted, the use of the structure that was adopted when the salaries were fixed was beyond parliamentary contemplation and accordingly, the use of the below market salaries comprised a tax avoidance arrangement.

While such a proposition does not provide clear or quantifiable guidance the Supreme Court also outlined situations where a below market salary would not amount to tax avoidance:

- # where a salary was set to a level that would absorb all company profits
- # a company in financial difficulty had insufficient funds to pay a market salary
- # retention of funds in order to make capital expenditure ([¶133-105](#)).

See Revenue Alert [RA 21/01](#), "Diverting personal services income by structuring revenue earning activities through a related entity such as a trading trust or a company: the circumstances when Inland Revenue will consider this arrangement is tax avoidance". [RA 21/01](#) was a re-issue of Revenue Alert [RA 11/02](#) ahead of the increase in the top marginal tax rate on 1 April 2021 ([¶133-325](#)).

Beneficiary advances can amount to tax avoidance

The general anti-avoidance provisions can also be applied to recharacterise current account advances made from the trustee of a trading trust to a beneficiary. In *Krukziener v C of IR (No 3)* ([2010](#)) [24 NZTC 24,563](#) current account loans of long standing made to a beneficiary were recharacterised as income. The High Court found that the history of loans that did not have recorded terms and where no demand for repayment was ever made, comprised a tax deferral arrangement that constituted tax avoidance ([¶133-010](#), [¶133-085](#) and [¶133-105](#)).

Last reviewed on 31 December 2025

Deceased estate — tax returns [¶25-650]

[¶25-650]

[Click to open document in a browser](#)

Estates are not trusts but some trust rules apply

The mere fact a person has died and an executor or administrator has been appointed to manage their estate does not automatically give rise to a trust relationship. However, a testamentary trust is created by way of a statement in a will that specific property of the deceased will be held on trust for a named beneficiary. The testamentary trust will be subject to the trust tax rules.

For tax purposes, regardless of whether a testamentary trust arises following a person's death, the definition of "trustee" under s [YA 1](#) includes an executor and administrator. While executors and administrators can be professionals who are paid for undertaking the role, many are not. Where the terms of a will provide for a gratuitous payment to an executor or trustee such a payment can meet the definition of a "pension" for the purposes of s [CF 1](#).

Note: The Taxation (Annual Rates for 2025–26, Compliance Simplification, and Remedial Measures) Bill proposes an amendment to s [CF 1](#), which would specify that a gratuitous payment made to the trustee of the estate of an individual who has died is excluded from the definition of "pension" under s [CF 1](#).

Tax return to the date of death

The executor or administrator of a deceased person is required to furnish any returns which the deceased would have been liable to furnish had they remained alive (s [43](#)).

This means that the executor or administrator must furnish any necessary returns of income for the year ended on the previous 31 March (or other balance date) if not already filed by the deceased, and for the period 1 April (or other balance date) to the date of death. The return of income up to the date of death must include all assessable income of the deceased that would be assessable income derived as at that date.

The Commissioner may require the furnishing of such further returns relating to the income of the deceased as the Commissioner thinks necessary. Income tax assessed in respect of a deceased person is deemed to be a liability incurred by the deceased during their lifetime and the executor or administrator is liable for its payment. However, liability for income tax in respect of income derived by the deceased before death is limited to the net assets of the estate. This includes tax that may be assessed as the consequence of the Commissioner reopening prior year assessments. Note that the Commissioner can write off outstanding tax if a deceased person's estate has been distributed.

Under s [HC 8\(1B\)](#), reportable income received up to 28 days after a person's date of death can be included in the final return for the deceased person and is not treated as income for the estate.

Registration of the deceased estate

A deceased estate is treated as a separate entity for tax purposes. The executor or administrator must register the estate as a new tax payer and apply for a new IRD number in the name of the estate using form [IR596](#).

Trustee return for income derived after death

Apart from any reportable income subject to s [HC 8\(1B\)](#), income derived by the deceased estate after the date of death is treated as trustee income (ss [CV 12](#) and [HC 8\(2\)](#)). Note that the terms of the deceased person's will can be relevant in determining whether income is income of the deceased or income that must

be accounted for as trustee or beneficiary income ([¶25-660](#) and [¶25-680](#)). The executor or administrator must furnish trustee tax returns for the estate using form [IR6](#) until the estate is wound up.

From 1 April 2024, the trustee income of the deceased estate is subject to a 33% tax rate for the income year of death and the following 3 income years (s [HC 8B](#) and [¶25-080](#)). After this time period, the trustee income is taxed at 39% unless the estate qualifies as a de minimis trust.

Final trustee return on wound up

If the final distribution of estate assets or trust income is to be made, the trustee should ensure that sufficient funds have been reserved to meet all tax obligations which will or may prove to be payable either in the trustee's own right or as agent of the beneficiaries. This is because the trustee may be liable for any shortfall. See *The Public Trustee v Flower* ([1991 13 NZTC 8,042](#)). This is not to say, however, that the trustee is absolutely liable for the trust tax. An estate could be insolvent and, in such a case, the trustee is not personally liable. The trustee should furnish a final tax return for the trust covering the period from the preceding 1 April to the date of final distribution.

Non-active deceased estates

From 1 April 2022, executors of estates that do not derive income during a tax year do not have to file a return (s [43B](#)). Application for the exemption is made to the Commissioner.

Notes to the Non-active trust declaration (form [IR633](#) (April 2023)) list a number of factors that should not be taken into consideration when establishing whether a trust or estate will be non-active. They are:

- # bank and other administrative charges of less than \$1,500
- # reasonable fees paid to professional trustees
- # reportable income of less than \$1,000
- # insurance, rates and other incidental expenditure incidental to the occupation of a dwelling incurred by beneficiaries who are living in a dwelling owned by a trust.

Law: IT07 ss [CV 12](#), [HC 8](#), [YA 1](#), TAA ss [43](#), [43B](#), [177C\(2\)](#)

Last reviewed on 31 December 2025

Income to be returned by trustee of deceased estate [¶25-660]

[¶25-660]

[Click to open document in a browser](#)

Reportable income received up to 28 days after a person's date of death can be included in the final return for the deceased person and is not treated as income for the estate (s [HC 8\(1B\)](#)).

Income that is accrued at the date of death but that is received by the trustees after that date is treated as trustee income. This may not be included in the deceased's return to the date of death.

Generally, IR accepts any apportionment made by the trustees and executors. When an apportionment is made, the income allocated to the period before the date of death is treated as trustee income if it was not derived by the deceased during their lifetime. Assessment of the income allocated to the period after the date of death depends upon how the income is to be dealt with in terms of the will.

Dividend income may be apportioned between periods covering before and after death when the income is received after the date of death but is for a fixed period commencing before the date of death.

Example:

Mr TP is a retired farmer holding shares in XYZ Ltd. His income year ends on 30 June. Mr TP dies on 1 April. On 30 June, XYZ Ltd declares a dividend amounting to \$600 in Mr TP's hands. The dividend is stated to relate to the period 1 November to 30 April. Mr TP's trustee may apportion the payment as follows:

	\$
To date of death	500
Balance of dividend period	<u>100</u>
	<u>600</u>

Interest income that accrues on a day-to-day basis is treated as income to which the deceased was entitled in their lifetime and is taxable as deceased's income. Other interest that is accrued at the date of death but received subsequently is treated as trustee income. Interest derived after the date of death that relates to a period after that date is treated as trustee or beneficiary income, depending upon the terms of the will.

Rental income is taxed on the same basis as interest income. The appropriate portion of the year's fixed charges may be deducted from that income. This approach is to be applied to items such as rates, insurance, interest and depreciation. Trading stock on hand at the date of death must be brought in at the market value at the date of death.

Professional fees actually received up to the date of death are returnable for doctors and barristers who have previously furnished returns on a cash basis. Fees for the value of all work completed by the date of death are returnable for other professionals, even though an account may not have been rendered before the date of death. Fees for work completed by or on behalf of the trustees after the date of death should be returned in the estate return of income for the year in which an account was rendered.

Business income is derived on an accrual basis. Trading stock on hand at the date of death must be brought in at the market value at the date of death. Deductions are available for expenses incurred in the derivation of income by the deceased person and the trustee (see [¶25-670](#) for discussion on deductions available to trustee of deceased estate).

Effect of certain disposals — asset transfer rules

Transfers of property following a person's death (as well as in-kind distributions of property by trusts and companies, and gifts of property) are treated as disposals and acquisitions at market value (the asset transfer rules). Under the asset transfer rules, unless an exemption applies, there are 2 market value

transfers following a death, the first is at the time of the deceased persons' death and the second is on the subsequent distribution of the estate to the beneficiaries.

There are a number of specific rules for property transferred on a person's death or on final distribution of an estate. The transfer of property from a deceased estate to the administrator or executor of the estate is treated as occurring on the date that is immediately before the date of death. This means that the tax liabilities on the transfer of the property must be included in the deceased person's final tax return to the date of death. For cost compliance reasons, there are some specific exceptions for transfers of some property in relation to deceased estates.

Surviving spouse, civil union or de facto partner

The asset transfer rules do not apply to a disposal of property under the terms of a will or intestacy to the surviving spouse, civil union or de facto partner if all of the property in the tax base of the deceased is transferred to the surviving spouse, civil union or de facto partner; or a person within the second degree of relationship to the deceased (eg children, siblings or grandchildren of the deceased).

Property in the tax base is property of the following types (s [FC 1\(2\)](#)):

- # revenue account property
- # an interest in a FIF
- # a financial arrangement (excluding a financial arrangement in respect of which the deceased or a trustee of the deceased was a cash basis person), and
- # depreciable property.

Transfers of such property are treated as a transfer under a relationship agreement, that is, the assets are transferred at tax book value (s [FC 3](#)). The effect of this exception is that the tax consequences of the transfer of the property are realised when the transferee disposes of the inherited property.

Simple estates

On the final distribution of a deceased estate, there is no deemed disposal and acquisition at market value of property transferred that was in the tax base of the deceased, if the final beneficiaries are:

- # persons within the second degree of relationship to the deceased person, or
- # charities

and the following apply:

- # there is no life interest established by the estate
- # no property of the deceased is required by the estate to be held in trust (other than for the period in which the property is subject to administration or executorship), and
- # while the administration of the estate is continuing, the net income of the estate is distributed beneficially to the maximum extent that is legally allowable.

In this case, the transfer of property from the administrator or executor to the final beneficiaries is treated as a transfer of property under a relationship agreement (s [FC 4](#)). Generally, this means that the property is transferred at the trustee's tax book value.

Assuming all of the other conditions are met, this exception still applies if property that was not in the tax base of the deceased is distributed to beneficiaries who are not within the second degree of relationship to the deceased. See the examples below.

Further, if this exception (and no other exception) applies, there is still a deemed disposal and acquisition at market value when the property that was in the tax base of the deceased is transferred from the deceased's estate to the administrator or executor of the estate. Therefore, this exemption is a partial concession to the asset transfer rules.

Example:

Joe (a widower) died on 5 October. Tony is the executor of Joe's estate. Included in the assets in the estate are a residential rental property (the only property in Joe's tax base), \$5,000 cash and a valuable collection of antiques (Joe collected antiques as a hobby when he was alive). The final beneficiaries of Joe's estate are his son, Andy, Joe's niece, Adele, and the Red Cross. Tony makes the final distribution of Joe's estate on 28 March of the following year. Under the terms of Joe's will, Tony distributes the residential rental property to Andy, the \$5,000 cash to the Red Cross and the collection of antiques to Adele. Joe's will does not establish any life interest or require any of Joe's property to be held in trust.

Despite the fact that Adele (a relative of Joe who is not within the second degree of relationship) is included in Joe's will as a final beneficiary, the exception for the final distribution of a simple estate still applies. This is because Andy (a relative of Joe who is within the second degree of relationship) receives the residential property. Accordingly, the transfer of the residential property from Tony to Andy will be made at the tax book value of the estate. Any tax consequences of the transfer will be realised when Andy subsequently disposes of the property.

Example:

The facts are as in Example 2, except the residential rental property is distributed to Adele and the collection of antiques is distributed to Andy. In this case, the exception will not apply. There will be a deemed disposal and acquisition at market value of the residential rental property distributed to Adele.

Depreciable property

If the exceptions for a distribution to a surviving spouse, civil union or de facto partner or for a simple estate apply (see above), there will be no deemed acquisition at market value of the depreciable property transferred. Instead, there will be a deemed acquisition at either the cost or tax book value of the transferor in accordance with the rules for the transfer of property under a relationship agreement (s [FB 21](#) and [113-580](#)). This gives full effect to the rollover relief provided for in the exceptions.

A person who receives depreciable property by way of a bequest under the asset transfer rules can use the market value of the asset determined in accordance with those rules as the cost base to calculate that person's depreciation loss on the asset ([113-600](#)).

Example:

Jessica inherits a rental property from her great aunt. Jessica decides to keep the property as an investment. Under the asset transfer rules, the transfer of the property from Jessica's great aunt's estate to Jessica is treated as a transfer at market value. The estate must include in its final tax return any depreciation recovery income or depreciation loss arising on the transfer of the rental property. Jessica will be allowed to calculate the depreciation loss on the rental property based on the market value at which it was transferred to her.

Trading stock

If the exceptions for a distribution to a surviving spouse, civil union or de facto partner or for a simple estate apply (see above), there will be no deemed acquisition at market value of trading stock transferred. As in the case of a transfer of depreciable property, this gives full effect to the rollover relief provided for in the exceptions.

Timber

The transfer of property that is timber, standing timber or the right to take timber is made at tax book value if the property is disposed of to a person within the second degree of relationship to the deceased (eg the surviving spouse, de facto or civil union partner, children, siblings or grandchildren of the deceased). This applies when the property is transferred from the deceased person to the executor or administrator of the estate and also when the final distribution is made to beneficiaries.

Land

The distribution of land that would have been subject to tax under "the 10-year rule" if it had been sold by the deceased, will not be taxable under that rule, provided the land is distributed to a person within the second degree of relationship to the deceased (eg the spouse, de facto or civil union partner, children, siblings or

grandchildren of the deceased). This applies when the property is transferred from the deceased person to the executor or administrator of the estate and also when the final distribution is made to beneficiaries.

Briefly, “the 10-year rule” is the disposal of land by:

- # a land dealer or a land developer within 10 years of acquiring it
- # a builder within 10 years of completing improvements to it, or
- # a person who has disposed of land within 10 years of acquisition for more than its cost, and at least 20% of the excess received is due to various rules or zoning changes that relate to that land.

If there is no relief from the application of the 10-year rule, a deduction is allowed to the executor or administrator or the final beneficiary for:

- # the cost of the land to the deceased person, and
- # all other costs incurred by the deceased person and the executor or administrator or the beneficiary that have not previously been deducted.

For residential land disposed of on or after 1 July 2024, the effect of a person’s death on the bright-line test in s [CB 6A](#) for the disposal of residential land within 2 years of acquisition (10 years for land acquired on or after 1 October 2015 and disposed of before 1 July 2024, 5 years for land acquired before 27 March 2021 and 2 years for land acquired before 29 March 2018) ([17-049](#)) is addressed in s [FC 9](#). Rollover relief is provided for all transfers following a death and an exemption for any disposals by the executor or administrator or subsequent disposals by the beneficiaries ([17-405](#)).

Also see [IS 25/15](#), “Look-through companies and disposal of residential land under the bright-line test” explains how the bright-line rules (including the main home exclusion and rollover relief) apply in various situations involving residential land and transfers involving an LTC, including transfers following death.

Financial arrangements

The transfer of a financial arrangement by a deceased estate to the executor or administrator of the estate or on final distribution of the estate is made at cost, provided that the trustee of the estate is a cash basis person. The trustee of an estate can be treated as a cash basis person if the deceased person was a cash basis person at the date of death.

Unexpired prepayments

The transfer of unexpired prepayments by a deceased estate to the executor or administrator of the estate or on the final distribution of the estate is made at cost (s [FC 7](#)). The date of the valuation is the end of the income year.

Law: IT07 subpart [FC](#), ss [CB 6A](#), [CV 12](#), [EW 36](#), [EW 40](#), [FC 1](#), [FC 2](#), [FC 3](#), [FC 4](#), [FC 7](#), [FC 9](#), [HC 8](#)

Last reviewed on 31 December 2025

Deductions available to trustee of deceased estate [¶25-670]

[¶25-670]

[Click to open document in a browser](#)

Deductible expenses

Certain expenses may be claimed in the annual total deduction amount ([¶11-380](#)) for the return of taxable income to the date of death. Fixed charges are deductible on a proportionate basis according to the number of days covering the period from the beginning of the income year to the date of death. These include items such as rates, interest, insurance, rents and depreciation.

For other expenses that are not of a fixed nature, a deduction is available only if the liability for the expenses has been incurred on or before the date of death. Provided that this test has been met, it does not matter that the expenses are actually paid by the trustee after the date of death. Items here include matters such as repairs and maintenance and legal expenses.

Bad debt

Section [DB 32](#) applies to allow a deduction for bad debts that are written off as bad by the trustee of a deceased estate provided if the debts have previously been included in the income of the deceased. See [¶10-152](#) for discussion on this provision and [¶25-680](#) for related issue in ascertaining beneficiary income.

Law: IT07 s [DB 32](#)

Last reviewed on 31 December 2025

Ascertaining beneficiary income of deceased estate [¶25-680]

[¶25-680]

[Click to open document in a browser](#)

There are several matters that commonly arise in ascertaining beneficiary income. Some of the more common are as follows.

Income accrued to date of death

A will may specifically state that no apportionment is to be made between income and capital. In such cases, income accrued to date of death would be trustee income or beneficiary income depending on whether the income vests absolutely in the interest in the beneficiaries ([¶25-100](#) and [¶25-200](#)).

Income derived after date of death

Under s [HC 8\(2\)](#), an amount received in an income year by the trustee of an estate for the period after death is treated as assessable income derived by the trustee during that income year. Essentially, this means the amount the trustee of the estate receives is deemed to be income derived by the trustee and not trustee income and therefore, it can be vested absolutely in interest in a beneficiary of the estate or can be paid to a beneficiary of the estate and become beneficiary income where an interim distribution of the estate occurs ([IS 24/01](#), "Taxation of trusts" at 103). However, if no such vesting or payment occurs, the income is taxed as trustee income.

However, s [HC 8\(2\)](#) does not apply to reportable income received up to 28 days after a person's date of death (s [HC 8\(1B\)](#)). This income is to be included in the final return for the deceased person and is not income derived by the trustee ([¶25-660](#)).

Bad debts

A deduction is allowed for bad debts if they have previously been included in the income of the deceased or in trustee income and the debts are written off (s [DB 32](#)). The deduction is allowed against trustee income with the balance, if any, deducted from the income of a beneficiary to the extent that the loss is chargeable against the capital of that beneficiary. When income is insufficient to absorb the loss, the loss may be carried forward and deducted in the next tax year on the same basis. Should the debt subsequently be recovered, it would be treated as trustee income. The exception is if the debt was written off against the income of a particular beneficiary. In such a case, it would be treated as income in the hands of that beneficiary ([¶15-340](#) and [¶10-152](#)).

Depreciation

If the trust has purchased depreciable assets for deriving income or carrying on a business for the purpose of deriving income, it is entitled to claim depreciation ([¶25-660](#)).

Loss carried forward

Net losses incurred by a taxpayer in one income year are generally available for carry-forward and offset against net income in subsequent income years. However, such net losses are lost upon death and unable to be carried forward against income derived by a taxpayer's deceased estate. This is because, for tax purposes, the estate is a different taxpayer (*Tax Information Bulletin* [¶72-124 Vol 7, No 2](#), August 1995 at 31). When the trustee has the power to carry on a business, any loss arising out of that business is a loss to the trustee and not the beneficiaries. The resulting net loss may be carried forward and deducted from trustee income derived in a future income year.

Example:

Trustees were permitted to deduct the loss suffered in one income year from the profits made in the following income year. The Court of Appeal rejected the Commissioner's contention that there was a clear indication in the will of the testator's intention that losses should not be recouped out of subsequent profits but out of capital. See *Rutherford v C of IR* [1965] NZLR 444.

When an estate incurs a loss, that loss is considered by the Commissioner to have been incurred by the trustee and not by the beneficiaries (*Tax Information Bulletin ¶71-117 Vol 7, No 1*, July 1995 at 19). See also [¶25-160](#) for discussion on trust tax losses and the allocation of income. However, if the beneficiary has a vested share in the year the loss is sustained, the loss may be carried forward and offset against beneficiary income.

The same treatment may also apply when the trustee carries on the business as a bare trustee (ie not under authority of the will but with agreement of the beneficiaries after the point of distribution). In some instances, the trustee is authorised to recoup losses from future beneficiary income. When the trustee exercises any such power, the beneficiary is taxed on net income for the year after deduction of the loss recouped by the trustee.

Law: IT07 ss [CG 3](#), [DB 32](#), [IA 1–IA 4](#)

Last reviewed on 31 December 2025

Variation of trusts [¶25-700]

[¶25-700]

[Click to open document in a browser](#)

A trust may be varied:

- # in accordance with an express power of variation in a trust deed
- # in accordance with the rule in *Saunders v Vautier* (1841) Cr & Ph 240: 41 ER 482, which provides that in the absence of an express power, if all the beneficiaries are of age and consent to the variation
- # in accordance with Pt 6 or 7 of the TRU: see *Re Peers* [2023] NZHC 2120 and *Re Jury Family Trusts* [2022] NZHC 568; (2022) 5 NZTR ¶32-005, which relates to a successful application to vary mirror trusts with a maximum duration of 30 years (the reason for which was unclear) to avoid a tax liability of approximately \$160,000 per trust
- # under the Court's inherent jurisdiction: see *Chapman v Chapman* [1954] 1 All ER 798 and *Te Whanau Tupu Ngatahi O Aotearoa Playcentre Aotearoa* [2023] NZHC 1827
- # under s 35(2) of the Charitable Trusts Act 1957: see *Re M I Clifford Trust No 2* [2022] NZHC 2015.

Although variations are common in practice, the taxation consequences are not always clear.

The tax consequences of a variation depend on the extent of variation

Variations run from changes to deeds of trust for administrative reasons, to reflect legislative amendment, and/or to changes that affect beneficial interests. See *Re The Trustee Company, EF and GH* [2025] NZHC 653 where the trust terms were varied to extend the trust's maximum duration, remove certain beneficiaries, add trustee powers and modernise the terms of the trust.

The consequences of a variation depend on the extent of variation. A variation of a minor nature such as a change of the trust's name will not have tax consequences because there is no alteration to the rights or obligations under the trust. However, where a fundamental variation of trust occurs, such that there is in fact a new trust or trusts, it is necessary to consider the tax consequences of the variation.

In this regard a distinction can be made between a variation of dispositive powers and a variation of administrative powers in a trust. Variations to dispositive powers will include, for example, changes to beneficial interests, or the manner in which a beneficiary might benefit. Such variations may have a tax consequence.

An administrative change will usually relate to the administration of a trust and such variations will likely be neutral — unless, for example, the residence of the trustee changes as a result.

A general power to vary trust powers usually only includes variation of administrative powers. However, a power to resettlement will involve dispositive powers.

Regardless of these general guidelines, difficulty lies in determining the nature of a variation at trust law so that any tax law consequences can be correctly identified. These tax consequences arise, not from the fact of the variation, but owing to the disposition of property in the tax base. Generally, these are the consequences that arise from a loss of continuity of a trust or from any disposition of property onto new trustees as is the case in a resettlement.

Other variations may have no effect on the trust structure but can have a tax effect because of a resultant impact on tax revenue following the variation. Where this is the case, although a court will not decline to approve a variation because of a loss of revenue to IR (eg *Dalziel v Dalziel* (2008) 2 NZTR ¶18-009), the trustee would be wise to assess any avoidance risk.

The following statement from the report of the Australian Review of Business Taxation: A Tax System Redesigned: More Certainty, Equitable and Durable, July 1999 at 479 usefully summarises the uncertainty that prevails regarding the consequences of variation:

“An existing trust may cease and a new trust may be created as the result of changes to a trust deed, changes to the substance or nature of a beneficiary’s interest in the trust or changes to the operation of a trust. Such changes can give rise to the resettlement of a trust for some legal purposes. However, neither trust law nor taxation law is clear about exactly what changes to a trust deed constitute the creation of a new trust.”

Whether a variation brings about a new trust is a matter of scale and degree

The difficulty in matters of variation is to identify the point where changes are such that a new trust estate comes into existence because of a loss of continuity of the beneficial interests in the former trust.

It is accepted that a fundamental variation can result in a new trust. However, as each case will turn on its own facts, the exact nature of change that may cause a new trust to come into existence is not always clear. A sensible approach is to consider the changes that the variation will bring about. In *FCT v Clark* [2011] FCAFC 5; 2011 ATC ¶20-236, the Full Federal Court takes a somewhat concessional approach as to what will constitute a loss of continuity. The reasoning in *Clark* and other contemporary decisions, such as *FC of T v Commercial Nominees of Australia Ltd* [2001] HCA 33; 2001 ATC 4336, *Commissioner of State Revenue (Vic) v Lam & Kym Pty Ltd* [2004] VSCA 204; 2004 ATC 5058, *Chief Commissioner of Stamp Duties (NSW) v Buckle* [1998] HCA 4; 98 ATC 4097, *Commissioner of State Revenue (WA) v Serana Pty Ltd* [2008] WASCA 82; 2008 ATC ¶20-017, have been heard in the context of matters arising from specific transactions. The prevailing theme is the importance of being able to identify a continuum of property and membership. As noted at [88] in *Clark*:

“Such an approach [the continuum of property and membership] is consistent with the position at general law in relation to the four essential indicia of the existence of a trust: the trustee, trust property, the beneficiary and an equitable obligation annexed to the trust property: JD Heydon & MJ Leeming: *Jacobs’ Law of Trusts in Australia* (2006) 7th ed, at [104]–[110]. In *Commercial Nominees* both the Full Court, at [49] of its reasons, and the High Court, at [35] of its reasons, pointed out that there was nothing in Pt IX, nor in the 1936 Act generally, which imposed some statutory requirement of continuity for determining when there is a sufficient identity of the trusts involved ...”.

However, as the matter is often disregarded, even when the court is approving a variation, care is required to make appropriate enquiries on a case-by-case basis. See, for example, *McKnight v Craig* [2010] NZHC 1086; (2010) 3 NZTR ¶20-019, where the Court approved a substantial variation of 2 mirror trusts resulting in a single new trust where no consideration was given as to whether the variation was in fact a resettlement and, if so, the nature of the tax consequences (if any). Also see *Shanks v Shanks* (2010) 3 NZTR ¶20-021, and *De Bernardo v De Bernardo* (2010) 3 NZTR ¶20-011 — the subject of a similar application involving a trust valued at \$17 million where again no consideration was given as to whether the variation was in fact a resettlement.

A variation in the class of beneficiaries may result in a new trust

Identifiable beneficiaries are a pre-requisite of a valid trust. Although it is common for the beneficiaries of any trust to change over time, a variation of trust that results in a change of beneficial owner can represent the termination of a trust and the establishment of a new trust for different objects. Some guidance is provided by *FC of T v Commercial Nominees of Australia Ltd* 2001 ATC 4336 where the High Court of Australia considered whether changes to a trust, including the introduction of a new class of beneficiaries, resulted in the creation of a new trust in the context of continuity of a superannuation fund. In that case, the addition of a new class of beneficiaries did not terminate the original trust as it was accepted that the identity of the persons entitled to benefit under the trust would be likely to change over time, as new members came into the scheme and others left.

Although the case could be considered limited authority other than in respect of superannuation funds, it is useful in that it highlights the importance of context. Accordingly, *Commercial Nominees* could be used to support the proposition that for a variation to amount to a fundamental change the variation must effect a change not contemplated by the original deed of trust; or be so significant that there is no relationship between the original class of beneficiaries and the amended class of beneficiaries. Arguably, it might be said that in the case of a fully discretionary trust where any beneficiary has no more than an expectancy, the only change to the class of beneficiary that would effect a termination of the trust would be a change to the final beneficiary in whom the trust property will eventually vest. This aligns with the definition of an express trust in the TRU and the requirement for certainty as to the beneficiaries or the class of beneficiaries (TRU s 15). As noted in *Grand View Private Trust Co Ltd* (supra) at [1] and [121]:

[1] It is a fundamental principle of equity that a fiduciary power may be exercised only for a purpose for which the power has been conferred. The main issue on this appeal is whether the trustee of a settlement exercised for a proper purpose an express power contained in the trust deed to add and exclude discretionary objects, when it simultaneously added a purpose trust as an object and removed all the members of a family who had until then comprised the entire class of objects. This was immediately followed by the trustee's exercise of its discretionary dispositive power to appoint the whole trust fund to the purpose trust, thus bringing the settlement to an end.

...

[121] The power to add or to exclude beneficiaries is, however, a power of a potentially different character. It has the capacity to effect significant, even fundamental, changes to a trust. The question is whether, in the case of such a power contained in any particular trust deed, it is intended to have that capacity, or indeed to have any purpose that goes wider than simply furthering the interests of the identified beneficiaries. In the view of the Board, the question of the purpose of such a power is not to be answered by applying, as an overriding principle, a rule that all powers must be exercised in the interests of some or all of the beneficiaries, unless express provision to the contrary is made. The task is to discern the intended purpose of the particular power of addition and exclusion in the context of the particular trust. This requires the approach of considering the power in the context of the trust instrument, and of the circumstances surrounding it, which the Board has earlier set out and applied. The concept of a fundamental purpose of a trust, for which Mr Wilson argued, seems to come close to the substratum rule for which Mrs Talbot Rice contended. In a case such as the present, where it appears to the Board that the GRT has a clear purpose, it has a decisive effect on identifying the purpose of the clause 8 powers, but the purpose of a trust must be judged by reference to all the terms of the trust instrument, including any powers of addition and exclusion of beneficiaries, and to the circumstances in which the trust was created.

Also see *Terry v Hadwin* [2025] NZHC 3989 where the Court found that it was proper for the trustees to enter into a deed of variation.

Altering the vesting date will not generally result in a new trust

It is common for a trustee to have a power to vary the trust period. Unless the term of a trust is an essential feature of the trust, a variation to a trust that either brings forward or extends the term of the trust will not of itself generally result in a new trust (*Re Holmden's Settlement Trusts*; *IR Commrs v Holmden* [1968] 1 All ER 148, [1968] AC 685). In *Re Candida Trust* [2024] NZHC 976, the High Court approved a variation to the vesting date as the tax consequence of vesting on the specified date would be significant due to accumulated depreciation of over \$3.3 million (*Re The Trustee Company, EF and GH* [2025] NZHC 653).

In *McGowan v Valentini Trusts* [2021] VSC 154, the Supreme Court of Victoria held that notwithstanding the vesting of the trusts' assets, the trustees' powers of amendment were sufficiently wide to permit variation following vesting.

Changes in trust property are not generally a variation of trust

The creation of a trust through a nominal settlement and the later addition of further property is a long standing accepted practice (*Truesdale v FC of T* [70 ATC 4056](#)). For tax purposes, trustees may treat subsequent settlement on the same terms as a single settlement. Therefore, unless a trust was established for the express purpose of holding a particular asset, it is unlikely that a change of trust property would effect a fundamental variation of trust.

Variations of an administrative nature will not generally give rise to a new trust

It is common practice for the terms of a trust to be varied in accordance with a power of variation or under Pt [6](#) of the TRU. Although there is no clear legal principle that can be applied, as a general proposition, where a variation effects matters of administration and there is no alteration to the beneficiaries' rights or the terms on which the trust property is held, then the resulting variation will not give rise to a new trust.

An example of a change of an administrative nature would be a variation whereby a trust's balance date is changed to achieve administrative and cost benefit. See *Re Medbury School Trust Board* [\[2025\] NZHC 4086](#) where as noted at [11](a):

“the billing cycle for school fees typically commences in late January each year. Through having a 31 January balance date the School requires additional accounting effort to properly match revenue and expenditure in the applicable reporting periods. The proposed change to a 31 December balance date would eliminate that effort”.

As noted in *Re Turner Family Trust No 2* [\[2025\] NZHC 4033](#) at [18] in *Re Oakridge Trust Co Ltd* [\[2024\] NZHC 2860](#) the Court approved trust variations where the effect included addressing the default duties under the TRU. In *Re New Zealand Medical Association Inc* [\[2025\] NZHC 1957](#), the Court approved a new deed for a charitable trust where default duties, including the duties to invest prudently, to not take any reward for acting as a trustee, to avoid a conflict of interest between the interests of the trustee and the beneficiaries of the trust, and to act unanimously were excluded or modified.

A change of trustee is not a variation of trust

Although a change of legal ownership of trust property results, the retirement or appointment of a trustee is not of itself a variation of trust (*Massereene v Commr of IR* [1900] 2 IR 138 at 147). In the normal course of events following the retirement and appointment of a trustee, the trust property vests in the new trustee who assumes the rights and obligations of the retiring trustee and the trust continues.

However, if the change of trustee is part of an arrangement where the trust property is to be held by a new trustee on new terms, the trustee should assess the effect of that variation on the continuity of the trust.

A variation can have tax consequences even if it does not amount to a resettlement

Where there is a fundamental variation of a fixed trust such that a new class of beneficiaries arises, any dispositions of property effected by the variation will likely be subject to the same tax consequences as a resettlement (*Swires (HMIT) v Renton* [1991] BTC 362, *Re Holmden's Settlement Trusts*; *IR Commrs v Holmden* [1968] AC 685; [1968] 1 All ER 148, *Chief Commr of Stamp Duties v Buckle* (1998) 151 ALR 1).

The variation need not amount to a resettlement. The tax treatment is only the same because a fundamental variation, like a resettlement, results in a disposition for tax purposes together with the requisite consequences.

Law: TRU ss [122](#), [124](#), [130](#)

Last reviewed on 31 December 2025

Resettlement and winding up of trusts [¶25-710]

[¶25-710]

[Click to open document in a browser](#)

Resettlement occurs when all or some of the property of a trust is resettled on to a different trust

The taxation consequences of a resettlement are those that arise on the transfer of property or following a loss of continuity. The assets of a trust can be resettled in whole or in part on to the trustees of another trust.

In addition to a formal resettlement where all or some of the property subject to a trust is transferred to another trust, a resettlement can occur where a trust is varied such that even though a formal resettlement does not occur, the consequences are that the trust property is subject to a new trust. A resettlement can occur under a power of resettlement contained in the deed of trust or under the statutory power of advancement.

A resettlement at its most elemental level is merely a disposition of trust assets. Accordingly, care must be taken to recognise the attendant tax consequences. It is also important to ensure that any decision to resettle trust assets is properly made and within the ambit of trustee powers. See *Ashley Dawson-Damer v Grampian Trust Company Ltd* [2025] UKPC 32.

Distributions under a resettlement treated as occurring at market value

Generic rules provide for the tax treatment of the transfer of property in certain situations, including resettlements. When property is resettled on to another trust no consideration is paid by the recipient trustee. However, for tax purposes the recipient trustee is treated as having acquired the property at market value.

The same value is used by both the resettling and the recipient trustee. The date of the transfer for tax purposes is the date of the resettlement (ss [FC 1](#) and [FC 2](#)).

Depreciable property distributed under a resettlement has a tax book value for the recipient trustee

The deemed market value means that the resettling trustee must account for any depreciation recovery income in respect of depreciable property. This means that the resettling trustee must account for any depreciation recovery income, regardless of the fact that the transfer was not made for consideration.

Resettled land transferred at market value

A resettlement of land that is subject to the land disposal provisions is treated as a disposal of the land at its market value. This may require the trustee to recognise income on the resettlement. The recipient trustee is treated as having a cost of acquisition that is the same as the trustee's disposal value. That will provide a cost base for the recipient trustee, in the event that the recipient trustee holds the land on revenue account.

Income from the sale of land distributed under a resettlement and later sold by the recipient trustee can give rise to income in the hands of the recipient trustee if the sale proceeds would have been taxable to the resettling trustee. If the land disposal provisions apply, the recipient trustee will be treated as having acquired the land on the date on which the land was first acquired by the resettling trustee (s [CB 15\(2\)](#)).

Financial arrangements resettled at market value

Where a financial arrangement is resettled, the transfer will be at market value for tax purposes. This is the case even though there will be no consideration for the resettlement.

Financial arrangements include outstanding debts and fixed interest securities. The financial arrangements rules tax the economic benefit associated with financial arrangements. When a financial arrangement is transferred, a wash-up calculation referred to as a base price adjustment occurs. The base price adjustment requires a calculation that compares the consideration received and paid in respect of the financial arrangement and provides that the difference is treated as income or expenditure.

Outstanding debts can be novated or repaid on a resettlement

If any debts are owing when a trust is resettled, the outstanding debts can be repaid or novated. A novation effects an assignment so that the debt remains, but the recipient trustee accepts the liability for the debt.

Debt forgiveness income can arise on resettlement

If the resettling trustee has had debts forgiven, income can arise to the resettling trustee, up to the amount of the debt forgiven, if the beneficiaries of the recipient trustee are neither persons other than those for whom the creditor has natural love and affection or registered charities (s [EW 50](#)).

This would be the case if a resettlement was made from a trust where the only beneficiaries were the creditor's children, on to a trust that had corporate beneficiaries. Where this is the case, the previously forgiven amounts are income to the trustee of the resettling trust in the income year of the resettlement (s [EW 50\(6\)](#)).

Resettlement may result in a loss of continuity

There are no modifications to the continuity provisions for companies that apply to resettlements. Accordingly, if 49% continuity is not maintained following a resettlement, any tax losses will be forfeited in companies other than loss-attributing qualifying companies (see [119-010](#) for commentary on this historical tax regime).

Further, if 66% continuity is not maintained in a company (other than a qualifying company) any imputation credits will be lost. However, if the company whose shares are being resettled is in a position to declare an imputed dividend, some or all of the credits may be utilised before the resettlement.

Example:

The majority shareholder in a company is a trust, holding 998 of 1,000 shares. The shares have been resettled on a new trust. The beneficiaries of the new trust are the same as the beneficiaries of the old trust. There is no intention of avoiding or defeating the imputation legislation by resettling the trust. Does this constitute loss of continuity for imputation credit purposes?

Yes, shareholder continuity of 66% or more for imputation credits will not be satisfied. The resettlement of the shares will affect the company's ability to carry forward any pre-existing losses and will give rise to forfeiture of the imputation credits. However, the imputation credit problem may easily be overcome by way of a taxable bonus issue or a dividend payment before resettlement.

Supply under a resettlement may be a supply for GST purposes

If the resettling trust is GST-registered, GST must be accounted for on the supply of any assets that comprise the trust's taxable activity. Although a supply under a resettlement will not be made for consideration, if the recipient trust is associated with the resettling trustee, but not GST-registered, the supply will be deemed to be made at market value (s [10\(3\)](#) of the GST Act).

Where both the resettling and recipient trusts are GST-registered, the market value provisions will not apply.

If the recipient trust is also GST-registered, it may be possible to zero-rate any taxable supplies of land or that are a going concern. The fact that there will be no consideration made for a supply under a resettlement does not affect the ability to zero-rate a supply, consideration not being a requirement for zero-rating ([¶132-035](#), [¶132-505](#) and s [11\(1\)\(m\)](#) and [\(mb\)](#) of the GST Act).

If the recipient trustee is GST-registered and the resettling trustee is not, a secondhand goods credit is unlikely to be available, as the secondhand goods provision effectively requires that there be payment. Also see Neil Russ, "GST: A Practical Guide" (11th ed, CCH New Zealand Limited, 2025) at ¶1306.

Tax losses will be forfeited if the resettling trust is wound up

Losses cannot be resettled on to another trust. Where a resettling trust retains some assets, it will retain any losses. However, if the resettling trust resettles all its property on to the recipient trust, the resettling trust will cease to exist and accordingly the tax losses will be forfeited.

All of the trust assets and/or income are distributed when trust wound up

There are no specific taxation provisions that apply when a trust is wound up. Accordingly, the treatment of any distribution of trust assets on a winding up is no different to that which applies on a resettlement during the life of the trust.

A trust is wound up when all of the trust's assets are distributed on to its beneficiaries or on to another trust by way of resettlement. Although certain formalities are required to record the end of the trust, these are practically rather than legislatively prescribed when the existing trusts are extinguished.

Distributions of corpus made on winding up the trust are treated as any other capital distribution and will be tax-free to the same extent as would have been the case for an earlier capital distribution.

A resettlement can comprise income to the recipient trustee in certain circumstances

If the resettling trustee is a complying or foreign trust, the income may be assessable income for the recipient trustee and taxed at the trustee tax rate.

The market value of any resettlement that is excluded from corpus under s [HC 4\(3\)](#) to [\(5\)](#) is trustee income to the recipient trustee. The amount of any trustee income will be reduced by the market value that the trustee treats as beneficiary income or a taxable distribution (ss [CV 13\(b\)](#) and [HC 4\(3\)](#) to [\(5\)](#)).

If a resettlement is made by a non-complying trust, the income is excluded income for the recipient trustee. However, the income is taxed to the resettling trustee under s [BF 1\(b\)](#) at the non-complying trust tax rate.

A resettlement of property that is excluded from corpus under s [HC 4\(3\)](#) to [\(5\)](#) is an amount of income that the recipient trustee derives or has derived for the purposes of the ordering rules in s [HC 16\(2\)\(a\)](#) and [\(b\)](#).

For the purposes of the ordering rules, a resettlement is treated as income even if the amount was a capital gain in the hands of the resettling trust. On being resettled on the recipient trust, the amount, which is excluded from corpus under s [HC 4\(3\)](#), is re-characterised as trustee income and income under ss [HC 7\(3\)](#) and [CV 13\(b\)](#), respectively.

It is possible for beneficiaries of a recipient trust to be taxed on subsequent distributions from the recipient trustee. If the resettlement is made by a complying or foreign trust, the income may be assessable income for the recipient trustee and taxed at the trustee tax rate.

Any resettlement, whether by way of distribution, sale or under a power of resettlement needs careful assessment of the tax consequences, which will depend on the particular circumstances. See Technical

Decision Summary TDS 25/09, "Distribution and resettlement of trusts", which considers arrangements relating to the distribution and resettlement of assets from several family trusts on to new family trusts.

Subsequent resettlements

A resettlement by a recipient trustee of property that was excluded from corpus under s [HC 4\(3\)](#) to [\(5\)](#) is treated as trustee income (s [HC 7\(3\)](#)). If a recipient trust is a complying trust, a subsequent distribution by the recipient trustee of any trustee income from the resettlement to a beneficiary of the recipient trust is exempt income of the beneficiary under s [HC 20](#).

However, a subsequent distribution will be a taxable distribution if the recipient trust is a foreign or non-complying trust. This is because the resettlement amount is income derived by the trustee of the recipient trust that is treated as not being beneficiary income (s [HC 15](#)).

Other consequences of winding up a trust

Other matters to take into account on the winding up of a trust include:

- # Continuity. There are no exceptions to the rules regarding continuity of shareholdings that address a loss of continuity because a trust is wound up. Accordingly, a loss of continuity occurs due to a trust being wound up and the consequences are the same as for any loss of continuity.
- # Deductions. When a trust is wound up, current year income must necessarily be paid as beneficiary income. This means that deductions cannot be offset against the income as would be the case if the income was retained as trustee income.
- # Any losses retained on winding up will be lost. There are no provisions that allow tax losses to be distributed to the beneficiaries when a trust is wound up.
- # If the trust is GST registered, there will be a cessation of the taxable activity on or before the winding up of the trust. The relevant matters to consider are the same as for the cessation of any business.

Trustee's liability for tax not extinguished when trust wound up

The trustee will remain liable for the trust's tax liabilities following the winding up of a trust. Once the trust's assets are fully distributed, the trustee's right to indemnity from the trust's assets is practically limited. Accordingly, a prudent trustee may seek personal indemnification from the final beneficiaries for any shortfalls or liabilities in respect of any tax obligations, before making the final distribution of the trust's assets. Where a beneficiary will not provide a satisfactory indemnity, the trustee can apply to the court for directions in this matter under the TRU, s [66](#) (*Worn v Burton* HC Auckland M 125-SD01, 17 June 2002).

Law: IT07 ss [CB 15](#), [EW 50](#), [FC 1\(1\)\(f\)](#), [FC 2\(1\)](#); GST ss [10\(3\)](#), [11\(1\)\(m\)](#), [\(mb\)](#); TRU s [41](#)

Last reviewed on 31 December 2025